Equity Research Report

Eicher Motors Ltd

Focus on Volume Growth

EICHER MOTORS

Recommendation	**: XXX**
CMP	**: INR 7,255**
Target Price	**: XXX**

About the Company

Eicher Motor is leading multinational automobile company. The company is engaged in manufacturing, distribution and selling of motorcycles, spare parts and related services. The company also have 54% joint venture with Sweden AB Volvo group. Eicher Motors manufactures the most valued brand "Royal Enfield." It leads in midsize segment motorcycles that is 250cc-750cc.The company also manufactures Buses, Trucks and electric vehicles. Royal Enfield has two tech center is located in India and U.K. The company has 5 subsidiaries i.e Canada, North America, UK, Brazil & Thailand. It has 5 CKDs located in Bangladesh, Brazil, Colombia, Argentina, Nepal & Thailand. The company has four manufacturing center located in India i.e Thiruvottiyur, Vallam, Oragadam, cheyyar. In Global Business the company has 8% share in America market and 9% in APAC & EMEA market share.

Key Highlights

- The company's net sales for FY25 stood at INR 18,870 crore (14% YoY increase) and growth of 12.8% QoQ basis in Q1FY26, while the net profit reached INR 4,734 (18% YoY increase).
- The company sold 1 million plus motorcycles in FY25, which is 10% up from previous year. Domestic sales were 9,02,757 units, up by 8% YoY. The company has sold 1,00,136 units in the international market, grew by almost 29.7%.
- The company generates 87.2% of revenue from two-wheelers and ~12.8% from accessories and spare parts.
- The company holds a market share of ~9% in the EMEA and ~9% in the APAC region, ~8% in America (including North America) in the mid-size segment.
- Royal Enfield has a robust distribution network through over 2000 stores, including 1,102 large dealerships and 901 smaller studio formats in India. It has a global retail network outside India consisting of over 1,085 touchpoints across more than 60 countries.
- They planned capex for FY26 is expected to be between INR 1200 and INR 1300 crore. A significant portion of the capex will be allocated towards the EV manufacturing facility, New Product Development, and new initiatives.

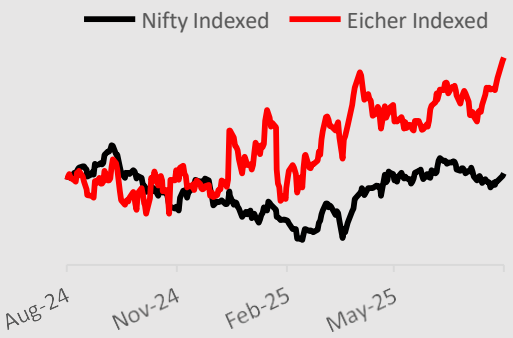
Valuation Outlook

- Eicher Motors delivered a mixed performance in Q2FY26. While revenue growth remained strong on the back of robust Royal Enfield volumes and stable VECV demand so far has largely been a function of GST rate cut benefits.
- Management commentary highlights healthy festive season trends and improving retail momentum, which, combined with GST-led benefits for the industry, could provide a near-term uplift to volumes. However, until commodity trends stabilise and value-engineering initiatives start meaningfully contributing, margin recovery is likely to remain gradual.
- Further, given that management would continue to focus on "growth" over "profitability," it would mean that margin upside is likely to be capped from here on.

Stock Data (as on Dec 11,2025)

NIFTY	**: 25,874**
52 Weeks H/L (INR)	**: 6,024.5/4,058.7**
Market Cap (INR Crs)	**: 1,99,006**
o/s Shares (Crs)	**: 27.42**
Dividend Yield (%)	**: 1.17%**
NSE Code	**: EICHERMOT**

Relative Stock Performance – 1Y



Absolute Returns

1 Years	: 21.55%
3 Years	: 73.25%
5 Years	: 177.81%

Shareholding Pattern (as on June,2025)

Promoters	: 49.1%
FIIs	: 25.8%
DIIs	: 15.8%
Public	: 9.40%

Financial Summary

In INR Crs	FY25	FY26E	FY27E
Net Revenue	18,870	20474	22614
YoY Growth %	**14.0%**	**11.8%**	**10.5%**
EBITDA	4,396	5269	5891.5
EBITDA Margins (%)	**23.0%**	**25.8%**	**26.1%**
PAT	4,407	4917.5	5466.5
YoY Growth %	**23.0%**	**18.8%**	**18.2%**
ROE	20.7%	22.7%	22.1%
EPS (In INR)	172.7	179.6	199.65
EV/EBITDA		25.75	12.01

Prepared By : C Pradeep Chandra

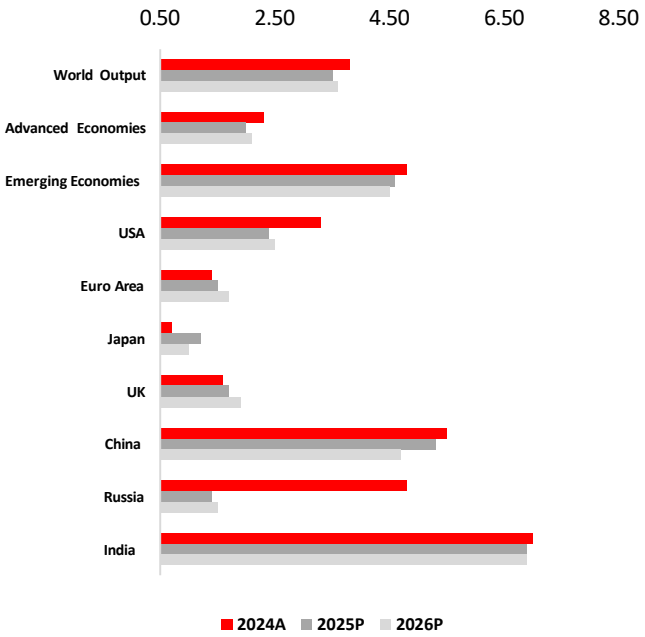
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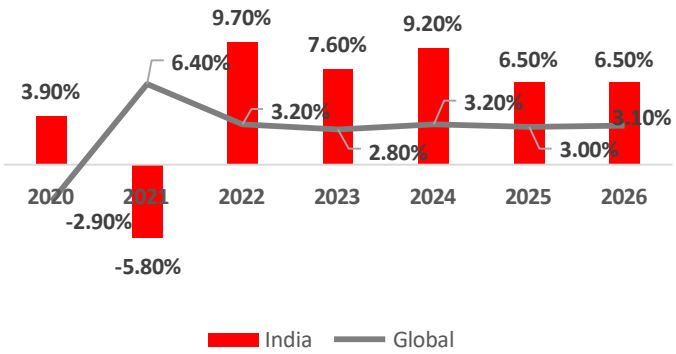
Global Economy

The Global economy remains subdued in calendar year 2024 with modest expansion in 3.3%. This stagnation was due to challenges like inflation, high interest rate and geopolitical tensions. The emerging and developing economies grew at a faster rate 4.3% in comparison to developed economy it was growing at 1.8%. As per the April 2025 projections, the IMF has forecasted the global economy will grow by 2.8% in CY2025 and 3.1% in 2026. The Inflation rate was moderate as per the central bank targets. In international markets such as USA, Uk, Europe, Australia & New Zealand the inflation rate remained higher than the targeted rate of central bank. In emerging countries like Argentina & Brazil the inflation rate remained high. There was slight decline in demand for Labour market but the unemployment levels historically remained low. There was improvement in real household income by strong nominal wage growth and by ease in inflationary pressures. The US economy outperformed by 2.8%, while the Euro zone remained sluggish at 0.9%, China momentum eased to 5% because of weak consumption and a downturn in property sector. India has maintained strong trajectory with a growth rate of 6.5%.

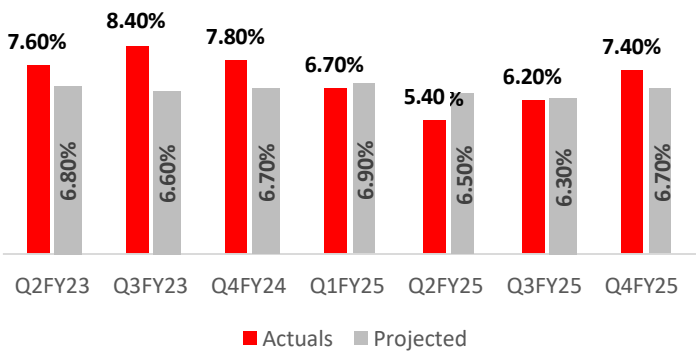
Global GDP Projections (%)



Global vs Indian GDP Growth %



Indian GDP Quarterly Growth - Actuals vs Projected



Indian Economy

Indian Gross Domestic Product (GDP) grew by 6.5% in FY2024-2025. It was driven by increase in consumptions and improvement in the agriculture sector. This was aided by fiscal and monetary policies of the government. This performance was also achieved by revival in rural demand and improvement in service sector activity.

Coming to the sectoral trends the agriculture sector reported a strong recovery with real GVA by 5.6%. Kharif food grain production grew by 5.7%. In contrast, the manufacturing sector experienced a slowdown to 3.5% compare to 14% in prior year. Corporate results have shown some recovery and service sector remained resilient, by 6.7% supported by continued strength in the services exports. Per capita income continued to increase. The consumer price index (CPI) inflation was at 4.63% was in line with Reserve bank targets which was supported by stable food and commodity prices. In February 2025, the RBI reduced the repo rate by 25 basis points to 6.25% to support the consumption growth.

The Government of India is doing lot of activities and have invested significant amount in infrastructure development for overall economic growth and improvement in the quality of life of people. In FY2024-25, the public capital infrastructure spend was Rs 10.2 Lakh crores, it was increased by Rs 9.49 lakh crores in FY 2023-24.

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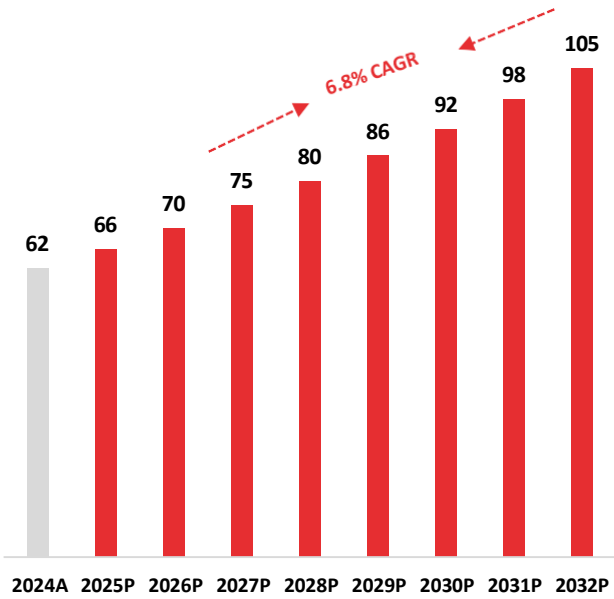
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Global Two-Wheeler Industry

The Global motorcycle industry achieved its highest-ever sales of 61.8mn units in FY24, with 2.7% y-o-y growth with market size of $ 120 bn in FY2024 and expected to grow $ 201bn by FY2032 with a CAGR of 6.8%. This growth was lead by India +14.1%, with strong performances also seen across Latin America and Central America, including Brazil, Mexico, and several Central American markets as per the Motorcycles Data (McD). Western and Eastern Europe recorded healthy growth, with Turkey and the UK contributing significantly. North America saw record sales, driven by Mexico's robust demand. Although, sales declined in China -13.7% and ASEAN markets -1.8%, indicating a shift in global demand centers.

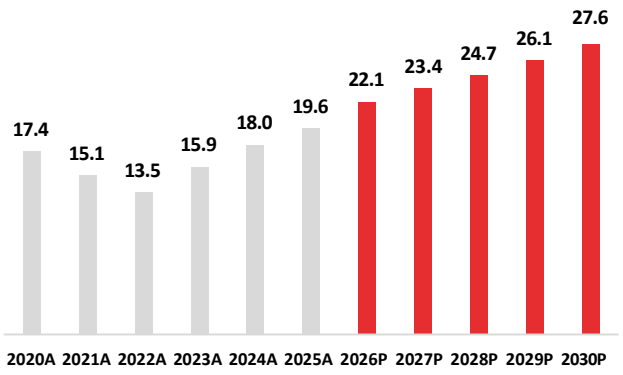
Due to various factors like increasing urbanization, rising per capita income, improved road infrastructure, demand for fuel efficiency , economic growth of rural regions and expansion of the middle-class population and the adoption of new technologies for sustainability may further drive market expansion. Despite having macroeconomics uncertainties and geopolitical disruptions.

Global Two-wheeler Sales Forecast (Units in Mn)

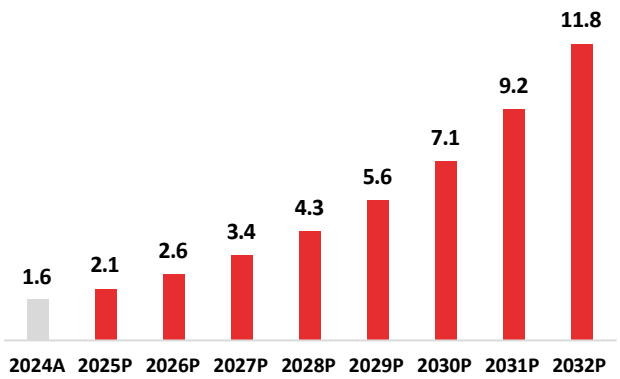


Source: fortunebusinessinsights

Indian two-wheeler market size (units in Mn)



India EV two wheeler market size(units in Mn)



Indian Two-Wheeler Industry

The India two-wheeler industry achieved strong sales growth of above 18mn units in FY25, with 7.7% y-o-y growth with market size of $ 21 bn in 2025 and expected to grow by $ 30bn in FY2030, with a CAGR of 7.0%. With strong growth support by GST rate cuts transforming affordability and confidence across all income segment phase. Amid challenges remains supply chain disruptions, particularly rare earth magnet availability for electric motors, could constrain the growth intensity. The outlook remains optimistic , supported by favorable government policies on electrification and GST rates for sub 350cc motorcycles. India projected 6.6% economic growth in FY2025 will drive increased demand, especially in premium segments.

Electric Two-Wheeler market size of 1.6bn in FY2024 and expected to grow by 11.8bn in FY2032 with a CAGR of 28.32%. While delivered a solid performance in FY2025, with 1.15mn sales with 22% Y-o-y growth. EV penetration rising to 6.1% in FY25 previous year was 5.4% in FY2024, The electric two-wheeler E2W market is expected to grow at 41% CAGR by FY2031. Scooters are expected to lead electrification in 2W. E2W penetration in scooters was 16% in FY25 and is expected to be as high as 70% in FY31. EV penetration in motorcycles is projected to be 10% by FY31.

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Product Portfolio

P Platform (650cc Twin Cylinder)



Classic 650



Shotgun 650



Bear 650



Interceptor 650



Continental GT 650



Super Meteor 650

K Platform (450cc Twin Cylinder)



Guerrilla 450



Himalayan 450

J & D Platform (350cc and 443cc Single Cylinder)



Scram 443



Goan Classic 350



Classic 350



Hunter 350



Meteor 350



Bullet 350

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Product Portfolio

Heavy Duty Trucks 18.5 to 55T



Haulage



Tipper



Tractor Trailer

Light & Medium Duty Trucks 4.9 to 17.5T



Sub 5T



Light Duty



Medium Duty

Volvo & Eicher Buses



Eicher Bus



Volvo Bus

Construction, Electric, Special Editions and Small Trucks



Skyline Ambulance



Pro 2055 EV Truck



Pro 8035



Skyline Pro E12M



8900 EV Volvo



Pro 2110 CNG

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Production Facilities

THIRUVOTTIYUR



Custom Operations

VALLAM



6,00,000 Motorcycles per annum capacity

ORAGADAM



6,00,000 Motorcycles per annum capacity

CHEYYAR



Chrome Plating and adjunct operations



Source: Company Analysis

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Macroeconomics & Supply Chain Challenges

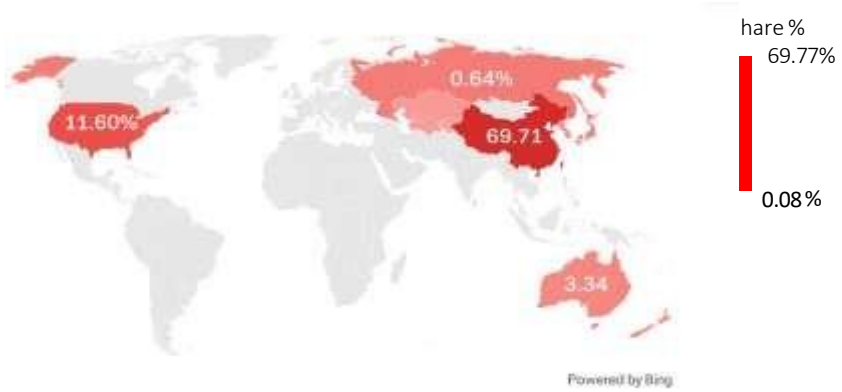
Rare Earth Elements Supply Disruption

Rare earth metals (REMs) or rare earth elements (REEs) are a group of seventeen metallic elements used in a wide range of technologies, including electronics, electric vehicles, magnets, catalysts, and more. While they are not scarce, they are often found dispersed in low concentrations , making them difficult and expensive to extract. According to statista.com, China accounts for almost 70% of the global REM production, processes 90% of the produced REM to further use it in different technologies. It also has the largest REM reserve in the world. REMs are critical to EV motor performance because they enable compact, high efficiency permanent magnets. China's dominance of processing and magnet manufacturing creates a supply risk for the world. Control in exports by China can trigger price spikes, production delays, and force automaker toward less efficient motor design.

REMs Production by Countries

Countries	Share %
China	69.77%
United States	11.60%
Myanmar	7.97%
Australia	3.33%
Thailand	3.33%
Nigeria	3.33%
India	0.74%
Russia	0.64%
Madagascar	0.51%
Vietnam	0.08%

Rare Earth Elements Production by Country



Source: Statista

Effect on Indian Automobile

The Indian automobile heavily dependent on Rare Earth Elements, especially for EV production. Key Rare Earth Elements for Auto sector and EVs are Neodymium (Nd), Praseodymium (Pr), Dysprosium (Dy), Terbium (Tb) especially used in Nd-Fe-B permanent magnets that power EV motors and Steering System. China has restricted the supply of these elements which are crucial for production of magnets used in electric vehicles and other automotive components. China restricted these elements because China is largest manufacture of Electric Vehicles, therefore China wanted to create a supply deficit and use this elements in their own products and later supply Chinese EVs to the rest of the world. According to the International Energy Agency, an average electric vehicle uses about 0.5 kg of rare earths elements, and an ICE car uses just half that. These rare earths are also widely used in motors in many components like, side mirrors, stereo speakers, oil pumps, windshield wipers, and sensors for fuel leakage and braking. The REM export crisis has raised concerns over a potential supply chain disruption in the Indian automobile industry due to the country's import dependency on China. Major Indian auto manufacturers like Maruti Suzuki, Mahindra & Mahindra, and Tata Motors have expressed worry over a prolonged export curb that might affect their vehicle production. As of now Eicher Motors management are worried about REMs because of alternative use of REMs said by Eicher's Management on Q1FY26 Concall.

Alternatives:

- **Induction motors (AC Induction)** – Tesla previously used induction in earlier models.
- **Samarium – Cobalt (SmCo) magnets** – High temperature stability and good performance.
- **Ferrite** – Cheaper, easy to produce.
- **Increase Domestic REMs Capacity;**
- **Find alternative sources;**
- **Use light Rare Earth Elements (REE).**

Although India has 6.9 million tonnes of rare earth reserves, the fifth-largest globally, it lacks any domestic magnet manufacturing capacity. The government has planned an INR 3,500-5,000 cr. scheme to increase the domestic production, but this might take some time to develop. REM imports from alternative sources like Vietnam, Japan, Australia, and South Korea might not fulfil India's needs as they produce in small scale, while using light rare earth metals could reduce the quality and performance of the equipment's they're used in.

Source: Statista, Google Search

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Quarterly Snapshot

INR Crores		FY2024				FY2025				FY2026
Particulars	**Q1**	**Q2**	**Q3**	**Q4**	**Q1**	**Q2**	**Q3**	**Q4**	**Q1**
Sales	**3,986**	**4,115**	**4,179**	**4,256**	**4,393**	**4,263**	**4,973**	**5,241**	**5,042**
Sales Growth QoQ%		*3.2%*	*1.6%*	*1.8%*	*3.2%*	*-3.0%*	*16.7%*	*5.4%*	*-3.8%*
Expenses	2,966	3,027	3,089	3,127	3,228	3,175	3,772	3,983	3,839
EBITDA	**1,020**	**1,088**	**1,090**	**1,129**	**1,165**	**1,088**	**1,201**	**1,258**	**1,203**
EBITDA Margins %	*25.6%*	*26.4%*	*26.1%*	*26.5%*	*26.5%*	*25.5%*	*24.2%*	*24.0%*	*23.9%*
Other Income	344	375	368	437	457	468	452	628	603
Depreciation	142	143	148	165	169	180	179	201	198
Interest	10	13	12	15	12	13	13	16	15
Profit Before Tax	1,212	1,307	1,298	1,386	1,441	1,363	1,461	1,669	1,593
PBT Margin%	30.4%	31.8%	31.1%	32.6%	32.8%	32.0%	29.4%	31.8%	31.6%
Tax(%)	*24%*	*22%*	*23%*	*23%*	*24%*	*19%*	*20%*	*18%*	*24%*
Tax	291	288	299	319	346	259	292	300	382
Net Profit	**921**	**1,019**	**999**	**1,067**	**1,095**	**1,104**	**1,169**	**1,369**	**1,211**
Net Profit Growth QoQ %		*10.7%*	*-2.0%*	*6.8%*	*2.6%*	*0.8%*	*5.9%*	*17.1%*	*-11.5%*
Net Profit Margin%	*23.1%*	*24.8%*	*23.9%*	*25.1%*	*24.9%*	*25.9%*	*23.5%*	*26.1%*	*24.0%*

Annual Snapshot

INR Crores

Particulars	**FY21**	**FY22**	**FY23**	**FY24**	**FY25**	**FY26E**	**FY27E**
Sales	8,720	10,298	14,442	16,536	18,870	21,077	23,680
YoY Change%	*-5%*	*18.1%*	*40.2%*	*14.5%*	*14.1%*	*11.7%*	*12.3%*
Material Cost	5,145	5,973	8,232	8,929	10,379	11,382	13,024
Manufacturing Cost	262	412	433	496	566	632	710
Employee Cost	872	824	1,011	1,158	1,321	1,475	1,658
Other Cost	698	927	1,300	1,488	1,887	1,897	2,368
Total Expenses	**6,976**	**8,135**	**10,976**	**12,071**	**14,153**	**15,386**	**17,760**
Total Expense % Sales	80.0%	79.0%	76.0%	73.0%	75.0%	73.0%	75.0%
EBITDA	**1,744**	**2,163**	**3,466**	**4,465**	**4,718**	**5,230**	**5,949**
EBITDA Margin%	*20.0%*	*21.0%*	*24.0%*	*27.0%*	*25.0%*	*24.8%*	*25.1%*
Depreciation	451	452	526	598	729	803	903
EBIT	**1,293**	**1,711**	**2,940**	**3,867**	**3,989**	**4,427**	**5,046**
EBIT Margin %	*14.8%*	*16.6%*	*20.4%*	*23.4%*	*21.1%*	*21.0%*	*21.3%*
Interest Expenses	16	19	28	51	54	59	49
Other Income	482	496	908	1,521	1,994	2,058	2,126
Profit Before Tax	1,759	2,188	3,820	5,337	5,929	6,426	7,123
Tax	440	525	879	1,227	1,186	1,298	1,439
Net Profit	**1,319**	**1,663**	**2,941**	**4,109**	**4,743**	**5,128**	**5,684**

Source- Sceener.in, Consensus Estimates ,Company Analysis

Prepared By : C Pradeep Chandra

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Key Growth Drivers for Automobile Industry

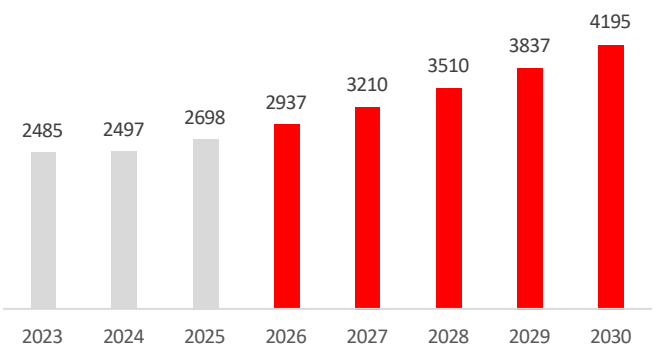
Rising Disposable Income and Rapid Urbanization:
There is increase in disposable income of middle-class people which have fuelled automobile demand. Recently the government has reduced the tax rate so this will boost demand for vehicles. As more individuals will have the means to afford personal vehicles. Population growth in cities leads to more congestion. This creates a demand for Two-wheeler and compact cars for easy maneuverability; at the same time, rising urban middle-class income will demand more premium vehicles. The aspirational value of owning a two-wheeler, particularly among young consumers, has also led to consistent upgrades from entry-level models to more premium offerings. This trend ensures a healthy base of replacement as well as first-time buyers.

Changing Consumer Preferences of the Indian :
The changing lifestyle of consumers means that they are looking for more comfortable and high-quality vehicles. They are looking for more advanced safety features, better fuel efficiency, more connectivity options, and more innovative designs. Automotive manufacturers have been quick to respond and meet these changing consumer demands. Scooters, with their ease of use and fuel efficiency, have gained traction in metros and tier-2 cities, while motorcycles remain popular for longer commutes. Additionally, lifestyle changes have led to demand for higher cc premium motorcycles, where brands like Royal Enfield have successfully built a community-driven ecosystem. Urban buyers are now valuing both convenience and lifestyle, which directly benefits two-wheeler demand.

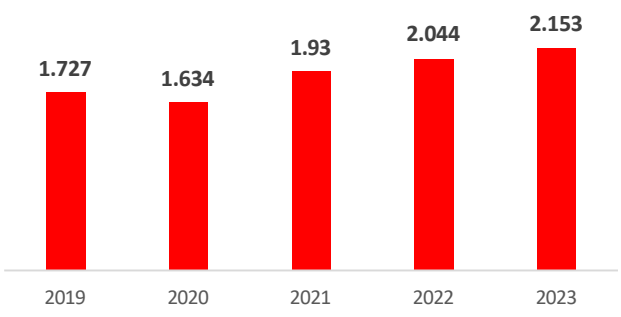
Rural Penetration & Government Support:
Rural markets has remained critical to sustaining the volume growth for two-wheeler companies. Factors like improving rural road connectivity, better access to financing, and government support through schemes such as PM-KISAN or rural infrastructure projects indirectly boost demand. Moreover, motorcycles often serve as a utility vehicle in rural India, making them a necessity rather than a discretionary purchase. Hence, any uptick in rural income directly translates into higher sales for the sector.

Technological Improvements in the Indian Automotive Sector:
Now, the Indian automotive industry has witnessed a significant shift towards advanced technologies which is driven by environmental concerns, changing consumer preferences, and regulatory requirements. The Buyers are demanding more technology or features-oriented bike. Earlier, the consumers demand bike with fuel efficiency but now they want stylish with more features and good mileage. And this development has been done by manufactures which has created demand for motorcycles.

Forecast of India's Per Capita Income (In$)



India's Consumer Spending ($TN)



Source: IMF, World Bank

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Government Policy Support :

Production Linked Incentive:

- Production Linked Incentive or PLI scheme is a scheme that aims to give companies incentives on incremental sales from products manufactured in domestic units.
- The scheme invites foreign companies to set up units in India, however, it also aims to encourage local companies to set up or expand existing manufacturing units and also to generate more employment and cut down the country's reliance on imports from other countries.
- This year the government has budgeted PLI for automobile and auto components is 2,818 crores.

PM E-Drive Scheme:

- The Central Govt has launched PM E-Drive Scheme with a budget of Rs.10,900 crore, effective from October 1, 2024 to March 31, 2026.
- This initiative aims to accelerate the adoption of Electric Vehicles in India and establish charging infrastructure and develop EV manufacturing ecosystem in India.

Vehicle Scrappage Policy:

- This policy of the government is expected to bring significant changes in the Indian auto sector.
- The policy will help the vehicle buyers benefit from zero registration fee, rebate on road taxes, upgraded discounts on purchase of new vehicles and low cost of maintenance which in turn will boost the sales.

Fame II:

- The Fame stands for Faster adoption and manufacturing of electric vehicles (FAME).
- This Fame-II policy was introduced on 1st April 2019 and this policy is primarily focused on encouraging EV through demand incentives and the creation of charging infrastructure.
- While the policy is still going on and it covers all E-2w, 3w, registered e-rickshaws, e-4Ws and e-buses.

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☎ Concall Analysis – Q4FY25 & Q1FY26

Financial Performance:

- In Q4FY25, Eicher Motors posted a record high performance with consolidated revenue of INR 5,241 crore, a 27% growth YoY. The EBITDA increased by 11% YoY to INR 1,258 crore. The net profit stood at INR 1,362 crore, up by 27% YoY.
- For the full year FY 25, Eicher Motors achieved its highest ever revenue of 18,870 crore and its highest ever net profit of INR 4,734 crore. This strong performance was the result of an all-round growth at both Royal Enfield and VECV, Profit after tax includes shares of profit of VECV.
- In Q1FY26, Eicher posted a record high revenue of 5,042 crore, a growth of 14.8% over INR 4,393 crore from Q1 last year.

Cost & Margins:

- In Q4FY25, management highlighted strong volume growth, particularly led by classic, battalion black which saw a good demand among consumers.
- According to management, gross margin was impacted because of 30bps benefit from model and variant mix, such as models like Battalion Black, 20bps impact from higher commodity prices (Steel and Aluminum) and 20bps impact from provisions for old bikes.
- Net-net, margins saw a decline of ~19bps versus Q3. The company increased the cost for their products around 1.15% for selected models like battalion black, classic.
- One of the reason the cost of bikes has increased because of OBD2B norms which passed on to the customers.
- In Q1FY26, a headwind on the commodity, margins have impacted by 50bps due to increase in steel and aluminum prices. Net-net impact was 30bps during this quarter due to VAVE benefits (Management declined to provide future guidance on value engineering benefits).
- Management expects some headwinds to continue in the upcoming quarters but is focused on availability of cost interventions.

Sales & Volumes:

- The company sold a total of 2,80,801 units motorcycles in Q4FY25 up almost 23% YoY. And in FY25, the company sold over 1 million plus motorcycles for the first time in history, which was 10,02,893, a 10% over the previous year. Domestic sales stood at 9,02,757 units in FY25, up by 8% YoY.
- In Q1FY26, company sold 2,61,326 motorcycles with a growth 14.7% against 2,27,736 in Q1FY25. Royal Enfield exports stood at 30,900 units in Q4FY25. And in FY25, the company exported 1,00,136 units and increase of 29.7% YoY.
- Royal Enfield exported 32,547 units in Q1FY26 with a growth of 41.2% over the last year. Despite being uncertainty in macroeconomic scenario, the company were able to maintain its growth momentum in international market.
- The company record a 15% YoY growth on classic volumes, in the last six months and 22% growth on Battalion Black models. The volume had increased significantly vs Q3 as well. The growth for premium motorcycles is estimated 10%.
- Hunter 350 has a very good traction with 17,000 – 17,500 per month while bullet stood at ~50,000 strong response in battalion black and new market. Himalayan domestic volume stagnant ~3,000/month
- The company has number 1 position in UK ~20.4% market share in (Mid-size), in Europe it is the 3rd largest player in the mid size motorcycle with an ~9% overall market share it the region.
- In EMEA(Europe, middle east, and Africa) market share was ~10%. LATM company has ~8% market share, and #3 in Brazil market, #2 in Argentia with a market share ~8%. The company recently entered new market in Bangladesh.

CKD Manufacturing:

- In Q4FY25, company inaugurated first fully owned CKD plant outside India (Thailand) and CKD expansion in Brazil (third party + own facility).
- Royal Enfield began operations of a manufacturing facility and flagship showroom in Bangladesh. SAARC, CKD plants fully operational and performing well.

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Eicher Motors Ltd

Focus on Volume Growth

Product Mix & Development:

- In FY25, Royal Enfield launched 6 new models Bear 650cc (new twin cylinder), Guerrilla 450cc (sherpa engine, urban adventure focus), Classic 650cc, Goan Classic 650cc and Classic 350cc.
- Flying Flea EV : In house brand showcased at EICMA, models such as FF C6 and FF S6 unveiled.
- In Q1FY26, first electric motorcycle under Flying Flea brand to be launched soon.

Customer Demographics:

- Hunter is attracting to age group of 24–26-year-olds (basically Youth one), Continental GT now younger buyers 26-27 years.
- Bullet has an age group of 30-34 year, but also seen the young audience are also enjoying the Battalion Black.

Commodity Headwinds:

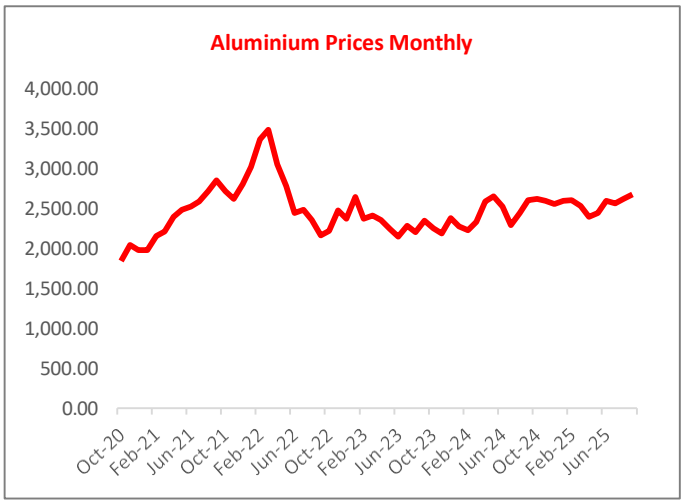
- Steel and Aluminum cost impact ~50bps in Q1 but offset by 20bps Value engineering benefits.
- Rare Earth Elements shortage affected Q1 production especially for Himalayan and scram. Alternative material is now used to normalize the production.
- Steel, Aluminum, and rare earths have caused cost pressure, but mitigated through alternatives like value engineering.

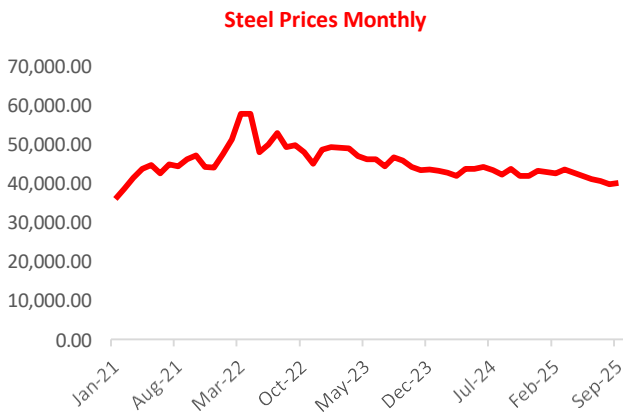
Capacity & Capex:

- The company had announced capex of INR 1,200 1,300 crore in Q4FY25, which is largely towards EV manufacturing, product development and new things.
- The company has currently a capacity of 1.2 million units, Oragadam and Vallam where company manufactures all motorcycles across the globe are close to hitting the full capacity.

Credit Availability & Dividend Policy:

- The board has propped a dividend of INR 70/share in a board meeting in Q1FY26. The payout ratio increased to 40% historically it has seen around 33-35%.
- Floor Financing for dealers ramped up to 575 dealers onboard, especially in rural market, to support festive sales.





Commentary on Commodity Prices:

Steel and aluminum prices have historically been volatile, driven by macroeconomic cycles, demand surges, infrastructure spending, and supply constraints. China, the largest producer supplying ~40 million tons, and India, the second-largest, heavily influence global pricing. During COVID-19, severe supply chain disruptions and strong demand recovery pushed prices to multi-year highs. Recently, however, prices have corrected sharply, reflecting easing supply bottlenecks, weak demand from China's real estate sector, and broader moderation in global growth momentum.

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Eicher Motor

☎ Concall Analysis – Q4FY25 & Q1FY26 Of VECV(Joint Venture)

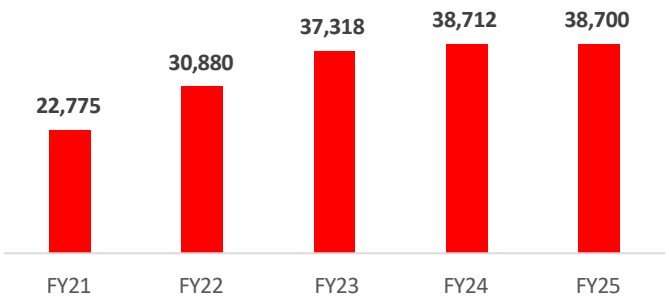
Financial Performance:

- In Q1FY26, VECV posted a revenue of 5,671 crores ~12% increase to INR5,070 crore (YoY). The EBITDA grew by ~33% YoY to INR511 crore, while the EBITDA margin increased by 9% YoY. The net profit stood at INR289 crore decline by ~11% YoY for the last year same time.
- In FY25 Q3, VECV recorded a revenue of INR23,548 crore, up by 7.7% from the previous year. EBITDA stood at INR732 crore for the quarter and INR2,030 crore for the full year, up 18.4% from INR1,715 crore in the previous year. The EBITDA margin stood at 10.75% for Q3 and 8.8% for the FY25. Net Profit for Q3 was INR457 crore and INR1,284 crore for the FY25.

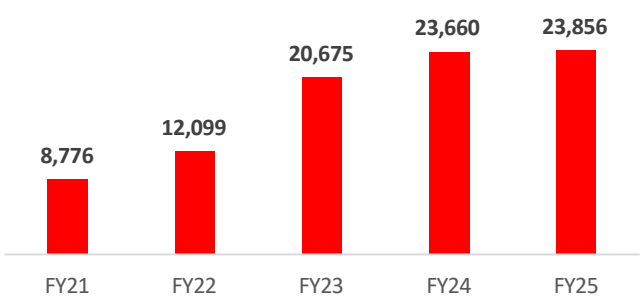
Sales & Volumes:

- In Q1FY26, VECV sold 21,620 units, up 9% from the previous quarter YoY. VECV continues to maintain its growth in the CV industry.
- Eicher HD Trucks, sold 4,580 units with a market share of 8.8%.
- LMD Trucks, sold 8,610 units against 7,842 units YoY for the same quarter previous year, with a leading market share of ~35%.
- VECV sold 6,000 buses in Q1FY26, with a market share of 21.5%.
- VECV export has grown from 20% to 1,436 units in Q1FY26.
- VECV has launched 92 new variants in FY25, including Eicher LMD-powered and HD Trucks for long haul.
- It has Launched Eicher Pro X small Trucks specifically designed for the 2-3.5-ton segment.

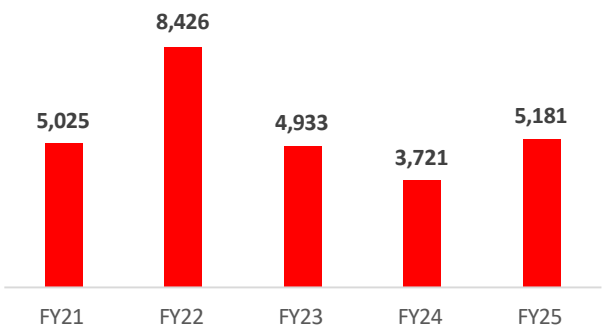
Light &Medium Duty Truck 5-18.5T



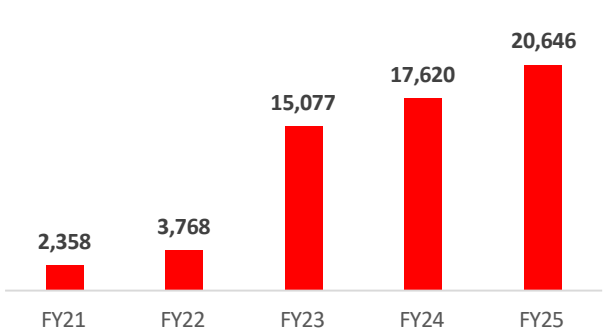
Heavy Duty Trucks >18.5T



Export



Buses



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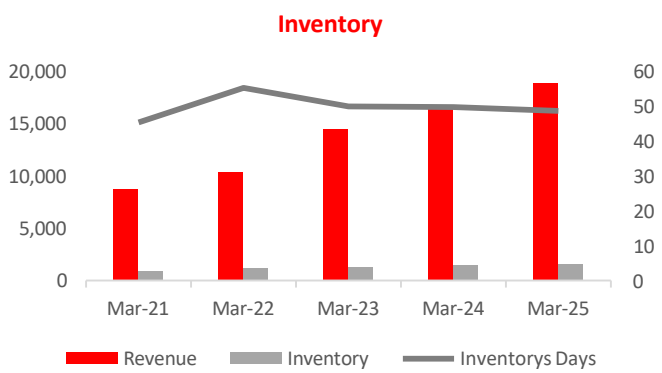
Focus on Volume Growth

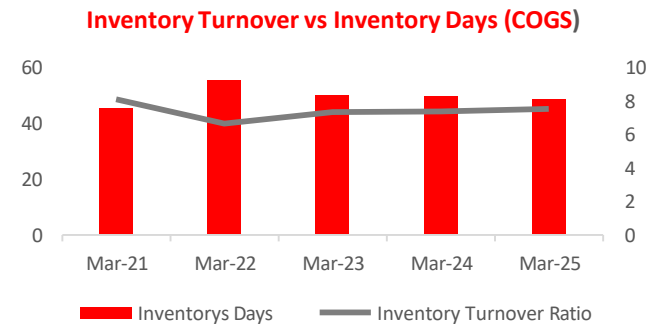
Inventory Analysis

Particulars	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Revenue	6,173	7,033	8,965	9,797	9,154	8,720	10,298	14,442	16,536	18,870
Revenue Growth YOY%		*14%*	*27%*	*9%*	*-7%*	*-5%*	*18%*	*40%*	*14%*	*14%*
Inventory	308	336	395	633	572	875	1,132	1,278	1,410	1,564
Inventory Growth YOY%		*9%*	*18%*	*60%*	*-10%*	*53%*	*29%*	*13%*	*10%*	*11%*
Inventory % Revenue	5%	5%	4%	6%	6%	10%	11%	9%	9%	8%
Average Inventory	308	322	366	514	603	724	1004	1205	1344	1487
Average Inventory% Revenue	5%	5%	4%	5%	7%	8%	10%	8%	8%	8%
COGS	3,780	3,964	4,976	5,810	5,150	5,830	6,644	8,814	9,859	10,624
Inventory % COGS	*8.1%*	*8.5%*	*7.9%*	*10.9%*	*11.1%*	*15.0%*	*17.0%*	*14.5%*	*14.3%*	*14.7%*
Inventory Days (COGS)	**30**	**30**	**27**	**32**	**43**	**45**	**55**	**50**	**50**	**51**
Inventory Turnover COGS	12x	12x	14x	11x	9x	8x	7x	7x	7x	7x
Inventory Days (Revenue)	**18**	**17**	**16**	**24**	**23**	**37**	**40**	**32**	**31**	**30**
Inventory Turnover (Revenue)	20x	21x	23x	15x	16x	10x	9x	11x	12x	12x

Particulars	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Bajaj Auto	18	17	15	14	17	23	20	19	18	20
TVS Motor	43	40	35	30	36	35	32	30	30	32
Hero Motor	14	13	16	19	23	29	25	26	25	27
Tata Motor	62	64	70	72	80	85	69	55	55	60
Mahindra & Mahindra	65	60	58	57	105	92	68	63	71	70
Ashok Leyland	43	53	54	40	75	55	51	35	44	49
Eicher Motor	46	30	27	32	43	45	55	50	50	49
Median	**43**	**40**	**35**	**32**	**43**	**45**	**51**	**35**	**44**	**49**
Average	**41**	**40**	**39**	**38**	**54**	**52**	**46**	**40**	**42**	**44**

The company revenue is increasing year on year and on average the revenues increases by 14% YoY. Major inventory has been increased from march 22 i.e 1,132 from last year 875 in march 20. The median inventory level is 13% and on average it is 22%. Inventory to Revenue is on average 7% and it is also in increasing stage. As revenue increases the company's cost of good sold also increases because it require huge capital expenditure for making product. Inventory as % of COGS has remained flat i.e 14% from last three years. It shows the company is well managing its inventory level and their management told that they are retail focused company they don't build too much inventory. The actual channel inventory is lean at 2 to 3 weeks. Inventory days is in increasing stage as in 2016 the company keeps 30 days inventory but now they keep 50 to 51 days inventory levels. The median inventory levels it keeps is 44 days and on average it keeps 41 days. The company turnover has reduced as in 2016 it 12x but now it flat from 2021 i.e 7x and the reason is the cost of good sold has been increasing. On average the inventory is 9x. Comparing the inventory levels with revenue it shows then days has been in increasing trend compared from 2016 to 2022 but now it is reducing to 30 days from 2023 to 2025. The industry inventory days is from 31 to 35 days and our company it is on average 40 day which slightly higher than industry trend.





Eicher Motors Ltd

Focus on Volume Growth

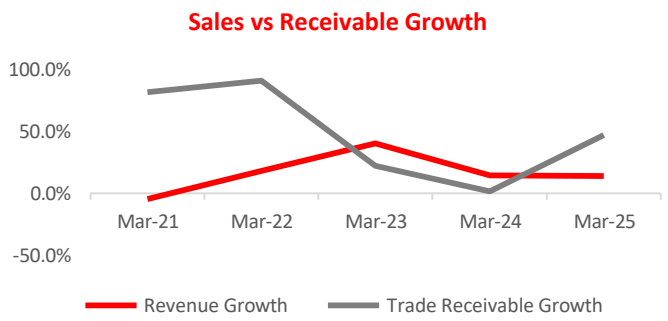
Eicher Motor

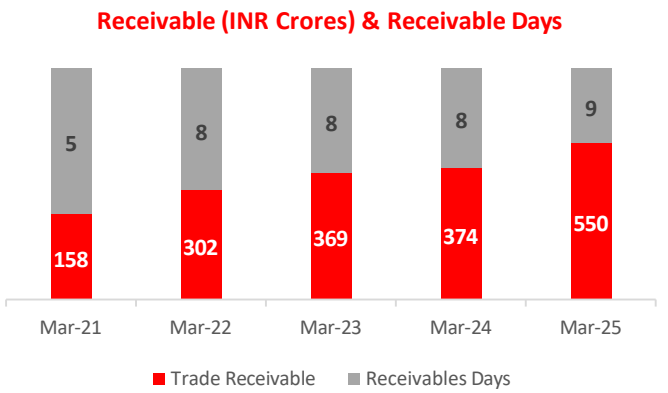
Receivables Analysis

Particulars	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Revenue	6,173	7,033	8,965	9,797	9,154	8,720	10,298	14,442	16,536	18,870
Revenue Growth		*14%*	*27%*	*9%*	*-7%*	*-5%*	*18%*	*40%*	*14%*	*14%*
Trade receivables	33	50	68	84	87	158	302	369	374	550
Receivable Growth%		*52%*	*36%*	*24%*	*4%*	*82%*	*91%*	*22%*	*1%*	*47%*
Receivable% Revenue	1%	1%	1%	1%	1%	2%	3%	3%	2%	3%
Total Assets	4,939	7,009	9,522	11,387	12,450	14,559	16,140	19,198	23,115	27,174
Receivable% Total Assets	1%	1%	1%	1%	1%	1%	2%	2%	2%	2%
Average Receivable	33	42	59	76	86	123	230	336	372	462
Average Receivable%Revenue	1%	1%	1%	1%	1%	1%	2%	2%	2%	2%
Receivable Days	2	2	2	3	3	5	8	8	8	9
Receivable Turnover Ratio	187.1x	169.5x	151.9x	128.9x	107.1x	71.2x	44.8x	43.0x	44.5x	40.8x

Particulars	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Bajaj Auto	12	14	18	24	26	29	23	16	16	15
TVS Motor	15	17	20	24	29	23	17	14	15	15
Hero Motor	17	18	17	22	27	22	27	26	26	27
Tata Motor	17	19	21	24	21	17	16	15	14	13
Mahindra & Mahindra	27	28	31	30	38	32	25	20	19	18
Ashok Leyland	24	22	15	21	35	42	44	33	36	31
Eicher Motor	18	2	2	3	3	5	8	8	8	9
Median	**17**	**18**	**18**	**24**	**27**	**23**	**23**	**16**	**16**	**15**
Average	**18**	**17**	**18**	**21**	**26**	**25**	**23**	**19**	**19**	**18**

As the company revenue is in increasing trend and the trade receivables of the company also increasing. Major Trade receivable has increased from Mar-21 i.e 158 crores to 550 crores in Mar-25. The median receivable growth is 36% and on average it 40%. Receivable as a percentage of revenue has remained flat in starting year from Mar-16 to Mar-20. Afterwards it started increasing from 2- 3% on average it keeps 2% receivable as % of revenue. Eicher motor has lowest trade receivable days which show the strong positioning in the market. The company is increasing their total assets in Mar-16 it was 4,939 crores and now it almost double that is 27,174 crores. This means company is doing capital expenditure to remain competitive in business. Receivable as % total assets is 1% on average. Eicher Motors is very efficient company in managing their receivables as they are collecting money quickly from their customers. From Mar-16 company takes 2-3 days for collecting receivable till Mar-20 and now it is slightly delayed like 5 to 9 days. On average it collect their receivable from customer in 5 Days. Receivable turnover ratio has remained flat in range like 40 to 45x. The turnover in 2025 was 40.8x and it is slightly reduced from previous year 44.5x by (-3.7%). This decrease is due to increased in average receivables.





Eicher Motors Ltd

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Eicher Motor

Trade Payable Analysis

Particulars	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Revenue	6,173	7,033	8,965	9,797	9,154	8,720	10,298	14,442	16,536	18,870
Revenue Growth		*14%*	*27%*	*9%*	*-7%*	*-5%*	*18%*	*40%*	*14%*	*14%*
Trade Payable	723	765	1,172	1,234	1,008	1,513	1,788	1,810	2,090	2,530
Payables Growth%		*6%*	*53%*	*5%*	*-18%*	*50%*	*18%*	*1%*	*15%*	*21%*
Payable % Revenue	12%	11%	13%	13%	11%	17%	17%	13%	13%	13%
Average Payables	1,118	744	969	1,203	1,121	1,261	1,651	1,799	1,950	2,310
Average Payables% Revenue	18%	11%	11%	12%	12%	14%	16%	12%	12%	12%
COGS	3,780	3,964	4,976	5,810	5,150	5,830	6,644	8,814	9,859	10,624
Payable% COGS	19.1%	19.3%	23.6%	21.2%	19.6%	26.0%	26.9%	20.5%	21.2%	23.8%
Payables Days	108	68	71	76	79	79	91	74	72	79
Payable Turnover Ratio	3.4x	5.3x	5.1x	4.8x	4.6x	4.6x	4.0x	4.9x	5.1x	4.6x

Peer Analysis	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Bajaj Auto	44	51	55	57	58	68	60	52	54	62
Hero Motor	50	56	54	52	58	68	83	67	74	75
TVs Motor	71	70	73	74	92	104	96	83	84	96
Tata Motors	138	138	151	133	145	175	141	128	126	131
Mahindra & Mahindra	108	107	125	127	142	147	134	118	112	118
Ashok Leyland	71	85	96	88	90	162	150	96	85	99
Eicher Motor	108	68	71	76	79	79	91	74	72	75
Median	***71***	***78***	***85***	***81***	***91***	***125***	***115***	***89***	***85***	***98***
Average	**80**	**85**	**92**	**88**	**98**	**121**	**111**	**91**	**89**	**97**

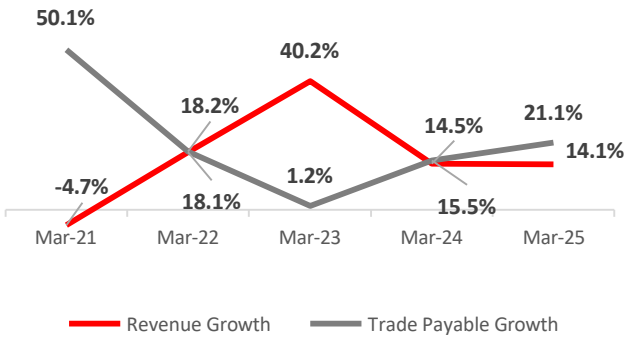
As the company revenue is in increasing trend and the Trade Payable of the company also increasing. Major Trade Payable has increased from Mar-21 i.e 1513 crores to 2530 crores in Mar-25. The median Payable growth is 15% and on average it has 13%.

Payable as a percentage of revenue has remained in range if 12% to 11% starting from year Mar-16 to Mar-20 afterwards it started increasing. Eicher motor has low Trade Payable days which shows the strong positioning in the market.

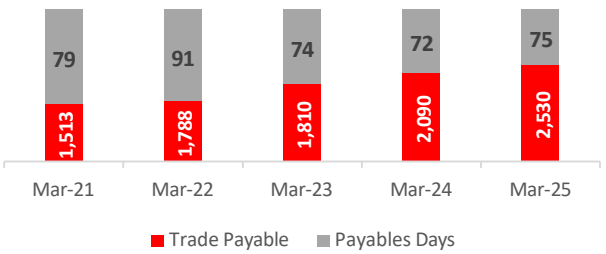
Eicher Motors is having strong power over its supplier Trade Payable turnover ratio has increased from 3.4x in 2016 to 4.6x in 2025. Overall, it is reduced 0.5% from 5.1x in 2024 to 4.6x in 2025.

Trade Payable as % of COGS has remained in range of 20% to 23% and the median is 21%. Although Eicher motors Trade Payable days is below industry.

Sales vs Payable Growth



Payables vs Payable Days

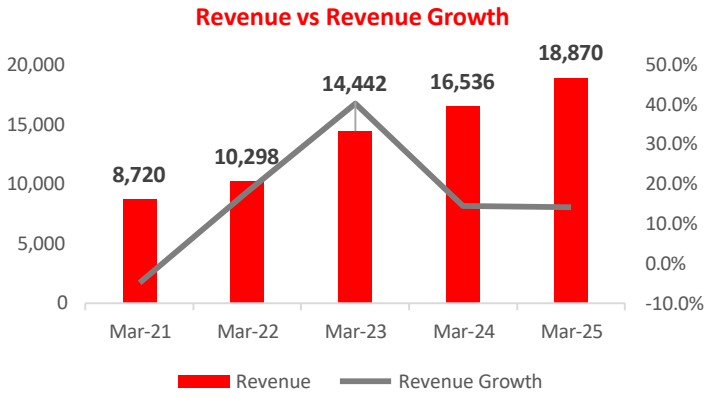


Eicher Motors Ltd

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Revenue Analysis

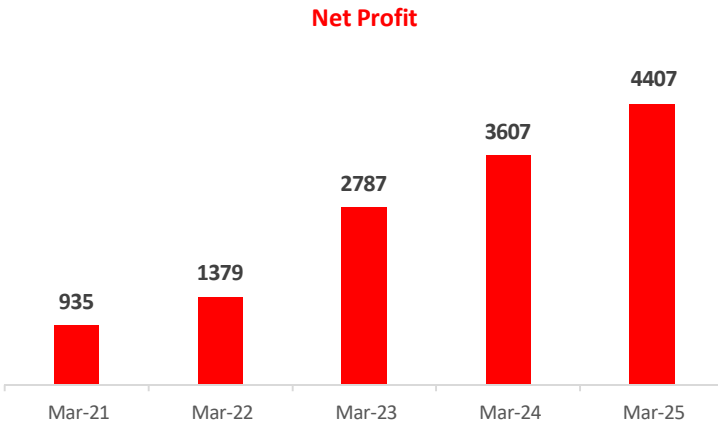
This year company has posted revenue of Rs 5,042 crores for Quarter 1 and it is up by 14.8% over last year Quarter Rs 4,393 crores. The company EBITDA is about Rs 1,203 crores vs last year it was 1,165 crores in Q1. Profit after tax was 1,205 crores which was up by 9.4% from 1,101 crores in last year Q1. The company has achieved this strong performance by delivering strong volumes like they have sold 2,61,326 motorcycles with a growth of 14.7% as against 2,27,736 in Q1 of FY2025 and in India they have sold 2,28,779 motorcycles with a growth of 11.8% from last year. While in FY25 the company did INR 18,870 crore in net sales, selling over 1 million vehicles first time in history, a 10% YoY growth. The company has continued to gain market share in middle-sized motorcycle segment and their market share is 87.3% share. The company has strong focused on their strategy by making strong portfolio and at the same time doing marketing activities which helped them to deepen their market share. In International market the company has sold about 32,547 units with a growth of 41.2% over last year. And the reduction in macro economic scenario the company was able to maintain the growth momentum in the international market. In international market like LATAM region the demand for royal enfield was continued to rise and in SAARC region markets like Nepal and Bangladesh were performing well.



Source: Company Analysis

Net Profit

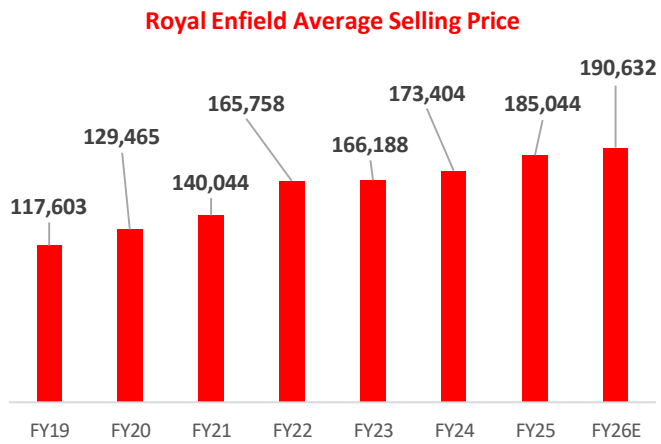
The company Net Profit is in upward trend and it is increased by 22% YoY from previous year. This shows the company is efficiently selling their products and generating profits to the shareholders. In FY20 the profit was Rs 1,996 Crores but in FY21 it was reduced to Rs 935cr due to covid impact. After covid the company has recorded a robust and consistent net profit. This growth reflects not only improved market conditions but Eicher motors robust sales, operational efficiency, strategic investment toward EV motorcycles and expanding market presence. This sustained increase in net profit demonstrates the company's solid fundamental and its ability to adapt a dynamic business environment.



Source: Company Analysis

Average Selling Price

Royal Enfield's average selling price (ASP) has steadily increased from Rs. 1,17,603 per motorcycle in FY19 to Rs. 1,85,044 per motorcycle in FY25. This demonstrated a pricing power of Royal Enfield and shows it has loyal customers and strong branding customers demands premium quality motorcycles irrespective of price hike. However, this price hike is not seen as sustainable in the long term as company should focus on more on volumes instead of price. In the Q1FY26, management indicates a further price hike, primarily due to increasing raw material costs such as steel and aluminums in the international market. However, rare earth elements were not a significant factor to this increase, according to the company's statement.



Prepared By : C Pradeep Chandra

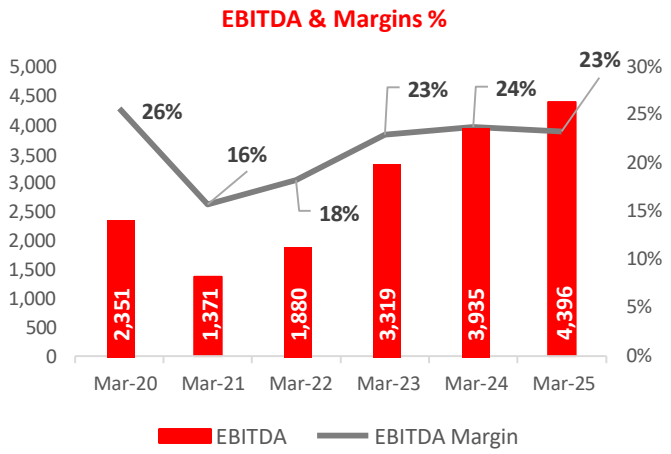
Eicher Motors Ltd

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EBITDA Margins

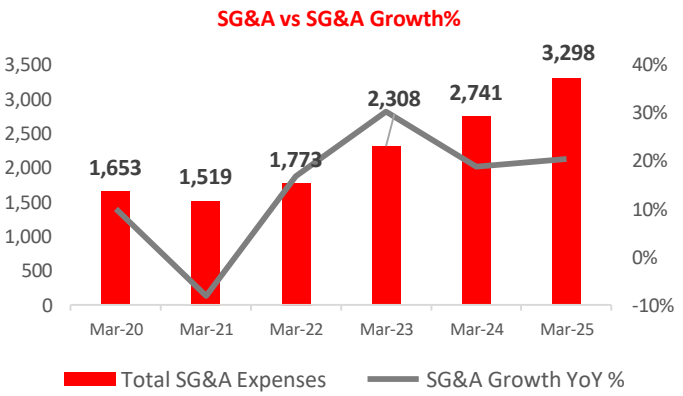
The company has strong EBITDA for FY25 it was 4,718 crores vs 4,465 crores in FY24 5% up year on year. For the First quarter FY26 EBITDA was 1,203 crores versus 1,165 crores in Q1 last year which is 3% up. EBITDA margins was 25% in FY25 vs 27% in FY24 which is reduced by 3%. On average the company maintains EBITDA margins of 24%. On QoQ basis there is sharp decline in margins as it was 27% in Q1 of FY25 vs 23% in FY26 almost reduced by 4%. This huge fall was due to inflation pressure such as increase in raw material prices (steel and aluminums), restrictions on rare earth elements, and increasing sales mix of lower margin motorcycles. .

EBITDA margins have historically been volatile. Between FY20-22, margins contracted due to decline in sales during covid period. Post covid, margins recovered and stabilized in the 24% to 26% range. 20bps QoQ decline in EBITDAM was due to adverse mix (30bps impact), higher RM cost (20bps impact), inventory liquidation (40bps one-off impact), partially offset by lower marketing spends (60bps benefit). The company has taken a price hike of ~1.5% in April 25 to offset OBD -2 norms related increase costs. Overall, RE is focusing on growing absolute profits.



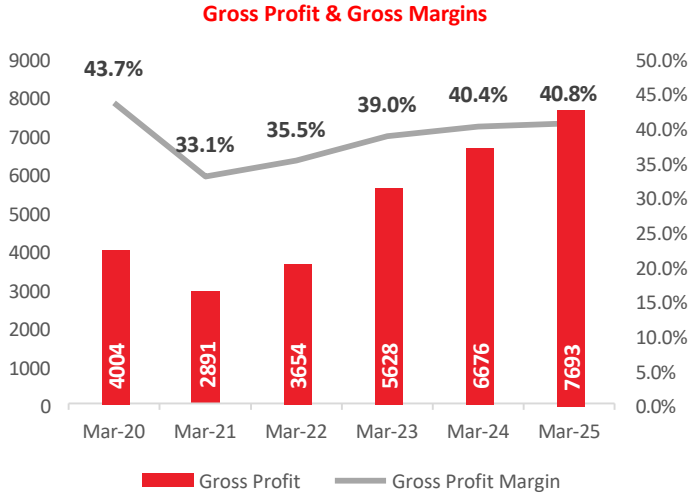
SG&A Expenses

The company has increased its expenses over the years from Rs1,653 crore in FY20 to 3,298 crore in FY25. Although the company spent heavily on advertising, employee costs, and other administrative expenses such as travelling, perks, etc., it is still spending less compared to its peers. While Bajaj Auto spent more on advertising, followed by TVS and Hero MotoCorp. During FY21, a significant drop in SG&A expenses occurred due to the COVID-19 impact, as well as global and domestic economic slowdowns, resulting in a production halt. After FY21, expenses are expected to rebound and increase steadily, with further growth anticipated due to increased marketing costs.



Gross Margins

The Company has gross profit margins ranging between 40-45%. And it is in increasing trend after march 2022 that is after covid era. This year company has gross profit of INR 7,693 crores which is up by 15%. Historically the company has maintained their margins range from 35% to 40%. And on average it keeps 39% gross margins. Due to covid-19 the company gross profits margins were shrink in March 2021 but after all economy started with recovery and hence the demand for motorcycle again raised so the company margins started improving. Also, the company was facing inflationary pressure and there is also commodity impact on gross margins like steel and aluminum. It has direct relationship with gross margins.



Eicher Motors Ltd

Focus on Volume Growth

Eicher Motor

SWOT Analysis – Eicher Motors Ltd

Strengths

- Royal Enfield has strong market leadership in premium motorcycle which includes 250cc to 750cc. The Company also have 85% market share in India. Which has created a strong brand in India and they have pricing power.
- The Royal Enfield is 100+ years old motorcycle brand and they have created value both in Indian and International markets like U.K, Europe, Latin America.
- The company has strong financial Position like they are Debt free company with strong positive operating cashflows and also, they have industry EBITDA margins (25%) In Royal Enfield.
- The company have Joint venture with Volvo (VECV) Sweden company which have given them a strategic access to a foreign technology in Trucks and Buses, improving the competitiveness in commercial vehicles.

Weaknesses

- Eicher Motor is overdependent on Royal Enfield and major revenue is like 85%-90% revenue comes from this motorcycle segment.
- Although company is taking efforts to make sale more volumes but EV motorcycles i.e Flying Flea its is delayed into in this EV segment as compared to Bajaj auto and Tvs has already launched their ev vehicles.
- The company global presence is still small as it only contributes 10% of motorcycle volumes which is limiting the global diversification.
- The Commercial vehicle business is also lagging behind like its market share is only 6-7% in trucks which is much lower than Tata motors and Ashok Leyland that leads to slower growth.

Opportunities

- There is rising global demand for mid size motorcycles so the company has huge opportunities to gain popularity and sale their motorcycles in developed markets in stylish and more affordable.
- The company has planned to launch its Ev motorcycle by end of 2025 and will get the opportunity to capture the premium Ev segment by giving customer proper valued product.
- Now the Indian consumers are shifting from traditional motorcycles to premium motorcycles like 250cc-650cc. They are more attracted towards premium motorcycle which will help the company in long term.
- There is also huge opportunity in markets like Asia, Africa, and Latin America where Royal Enfield heritage positioning can work well.
- The company can utilize advancements in connectivity, AI, and telematics to innovate and add smart features to its motorcycles and commercial vehicles which will help them to cater the demand for tech savvy customer base.
- Once the government infrastructure projects are completed the commercial vehicle will get demand, aiding to VECV growth.

Threats

- The company also have threat from competitors like Bajaj Triumph, Honda CB new premium offerings and Hero motor corps which poses threats in mid-size bikes.
- If there is quick adoption of Evs in Two-Wheeler then it may erode the ICE demand faster than Eicher's readiness.
- Premium motorcycles and commercial vehicles are highly sensitive to economic downturns, fuel prices and interest rates. If there is ups and downs in this it will hamper the demand and therefore will reduce the profits.
- There is also regulatory risks like stricter emission norms BS7, CAFE and Ev policies which the company may to have to pass the increase cost to the buyer or else they will have to bear it or accelerate transition.
- A change in consumer sentiment, a shift in market segmentation, or the brand becoming outdated which could impact the sales.
- Also changes in Government regulations related to vehicle safety, emissions, or taxation can impact the company's cost structure and product offerings.

Prepared By : C Pradeep Chandra

Eicher Motors Ltd

Focus on Volume Growth

Eicher Motor

Ratio Analysis

Profitability Ratios

Particulars	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Median	Average
Sales Growth	13.9%	27.5%	9.3%	-6.6%	-4.7%	18.1%	40.2%	14.5%	14.1%	**14.1%**	**14.0%**
Expenses Growth	12.8%	33.6%	20.4%	10.0%	-8.1%	16.7%	30.2%	18.7%	20.3%	**18.7%**	**17.2%**
Gross Profit Growth	28.2%	30.0%	-0.1%	0.4%	-27.8%	26.4%	54.0%	18.6%	15.2%	**18.6%**	**16.1%**
EBITDA Growth	36.4%	28.4%	-9.4%	-5.3%	-41.7%	37.1%	76.5%	18.6%	11.7%	**18.6%**	**16.9%**
EBIT Growth	38.6%	27.1%	-13.3%	-9.8%	-53.3%	55.1%	95.5%	19.5%	9.8%	**19.5%**	**18.8%**
PBT Growth	36.6%	27.3%	-5.6%	-12.3%	-45.0%	37.4%	92.8%	30.9%	16.6%	**27.3%**	**19.8%**
Net Profit Growth	37.9%	26.2%	-14.8%	10.9%	-53.1%	47.5%	102.1%	29.4%	22.2%	**26.2%**	**23.1%**
Dividend Growth	0.2%	10.2%	13.7%	0.1%	36.1%	23.6%	76.3%	38.0%	37.5%	**23.6%**	**26.2%**
Dividend Payout	16.3%	14.2%	18.9%	17.1%	49.7%	41.6%	36.3%	38.7%	43.5%	**36.3%**	**30.7%**
Gross Margin	43.6%	44.5%	40.7%	43.7%	33.1%	35.5%	39.0%	40.4%	40.8%	**40.7%**	**40.1%**
Operating Margin	28.2%	28.1%	22.3%	21.5%	10.6%	13.9%	19.3%	20.2%	19.4%	**20.2%**	**20.4%**
PBT Margin	34.0%	34.0%	29.4%	27.6%	15.9%	18.5%	25.4%	29.1%	29.7%	**29.1%**	**27.1%**
Net Margin	23.8%	23.6%	18.4%	21.8%	10.7%	13.4%	19.3%	21.8%	23.4%	**21.8%**	**19.6%**

Interpretation:

- The Company Sales Growth on average is 14.1%, the sales growth is in upward trajectory from Mar 17 to Mar 25 but in Mar 20 and 21 the sales has been reduced due covid-19 impact. After pandemic the sales has been improved. The highest ever sales growth was in Mar 23.
- As sales is growing the expenses are also increasing and on average it has 17.2% expenses as there is fluctuations in commodity prices and supply chain issue but the company CFO team is doing value engineering to save the cost.
- Gross margin seen a consistent growth ranging around 40-45% which shows operational efficiency of the business. Gross margin for auto industry is around ~35%, however, Eicher motors operates above industry average of ~45%, shows robust operational efficiency.
- Operating profit has declined compared to pervious year from 20% in FY24 to 19.4% in FY25, a 100bps reduction. And on average it has 20% operating margins.
- Net profit margins the company has achieved it pre pandemic level margins 23.4% in FY25 and 200bps increase from previous year margins.
- Eicher has highest EBITDA margin among its peers around ~25%, this is because of its premium motorcycle segment, which generate higher profitability compared to mass market or entry level motorcycles.

Efficiency Ratios

Particulars	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Median	Average
Debtor Turnover Ratio	141x	132x	116x	106x	55x	34x	39x	44x	34x	**55x**	**78x**
Creditor Turnover ratio	5x	4x	4x	4x	3x	3x	4x	4x	3x	**4x**	**4x**
Inventory Turnover	21x	23x	15x	16x	10x	9x	11x	12x	12x	**12x**	**14x**
Fixed Assets Turnover	8x	6x	5x	4x	4x	4x	5x	6x	5x	**5x**	**5x**
Capital Turnover Ratio	1x	1x	1x	1x	1x	1x	1x	1x	1x	**1x**	**1x**

Particulars	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Median	Average
Debtor Days	2	2	3	3	5	8	8	8	9	**5**	**6**
Inventory Days	30	27	32	43	45	55	50	50	51	**45**	**43**
Payable Days	68	71	76	79	79	91	74	72	79	**76**	**77**
Cash Conversion Cycle (CCC)	-37	-42	-40	-33	-28	-27	-16	-14	-19	**-28**	**-29**

Eicher Motors Ltd

Focus on Volume Growth

Interpretation:

- The company has efficient receivable management system it takes 2 days in Mar-17 to 9 days in Mar-25. It is low compared to its peers. Industry average for debtor days is around ~15 days while Eicher motors has its lows debtor days ~11 days which shows better recovery of money from customers. However, debtor turnover dropped drastically from 140x in FY17 to 34x in FY25, indicates that receivables are taking longer time to convert into cash, cashflow efficiently is slightly weekend.
- Inventory days has increased from 30 days in FY17 to 51 days in FY25, which shows stock is pilling up in the warehouse due to inventory provisions for few old bikes. While inventory turnover has reduced by ~9x. Average Inventory days are 43 days and its turnover is 14x.
- Fixed Assets Turnover has been reduced from 8x Mar 17 to 5x Mar 25. On average it has 5x turnover. It means from every 1 rs assets it generates 5x sales. Capital Turnover has remained constant 1x.
- Overall, Efficiency ratio remained robust during the years which shows company's robust operational efficiency.

Solvency Ratios

Particulars	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Median	Average
Debt To Equity Ratio	0.02	0.02	0.02	0.01	0.01	0.00	0.01	0.02	0.01	**0.01**	**0.02**
Debt/Total Assets	0.015979	0.015858	0.016422	0.011566	0.010784	0.003656	0.010209	0.011897	0.009789	**0.01**	**0.01**
Debt To Capital ratio	2.1%	2.1%	2.1%	1.4%	1.4%	0.5%	1.3%	1.5%	1.2%	**0.01**	**0.01**
Debt to EBITDA Ratio	0.05	0.06	0.08	0.06	0.11	0.03	0.06	0.07	0.06	**0.06**	**0.06**
CFO/Debt	1670%	1934%	598%	1236%	1226%	2364%	1474%	1495%	1576%	**14.95**	**15.08**
Interest Coverage Ratio	557x	471x	298x	104x	56x	76x	100x	66x	67x	**99.68**	**199.44**
Financial Leverage Ratio	1.31	1.35	1.28	1.25	1.27	1.28	1.28	1.28	1.28	**1.28**	**1.29**

Interpretation:

- Eicher motors has strong solvency with negligible reliance on debt. The Company has low Debt and Debt/equity is almost 0.01 in Mar-25. It means 1rs of equity it has 0.01 debt.
- The company has highest interest coverage ratio among its peers with a median of 100x indicating its superior ability to comfortably meet interest obligation.
- Financial leverage remain constant throughout the year with 1.28x indicates Eicher's robust solvency profile. These ratios indicates Eicher's as a market leader in the premium motorcycle segment.

Returns Ratios

Particulars	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Median	Average
Return on Equity	33%	31%	30%	20%	20%	8%	11%	19%	20%	21%	**20%**	**21%**
Return on Assets	25%	24%	22%	16%	16%	6%	9%	15%	16%	16%	**16%**	**16%**
Return on Capital Employed	39%	36%	35%	24%	19%	8%	11%	18%	18%	17%	**19%**	**23%**
Return on Invested Capital	27%	26%	29%	22%	22%	11%	10%	15%	14%	14%	**18%**	**19%**

Interpretation:

- The company ROE is 21% in Mar-25 and is has been improved from Mar-21 8% to 21% which indicates better profitability and on average it maintains ROE of 21%.
- The ROA which is 16% and it has remained flat from Mar-24 although the company it using its assets efficiently.
- ROCE has increased from 8% in Mar-20 to 19% in Mar-25 which shows the company has generated returns from their capital employed.
- ROIC has reduced the company has to achieves its 22% pre covid levels return. Now it is 14% which is quite good. But I think company will generate more return in coming years by proper allocating their assets and strong turnaround.

Eicher Motors Ltd

Focus on Volume Growth

Eicher Motor

Depreciation Analysis

Particulars	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Revenue	**6,173**	**7,033**	**8,965**	**9,797**	**9,154**	**8,720**	**10,298**	**14,442**	**16,536**	**18,870**
Revenue Growth YoY%		*13.9%*	*27.5%*	*9.3%*	*-6.6%*	*-4.7%*	*18.1%*	*40.2%*	*14.5%*	*14.1%*
Fixed Assets	**790**	**873**	**1,502**	**1,875**	**2,378**	**2,433**	**2,424**	**2,690**	**2,914**	**3,473**
Fixed Assets Growth YoY%		*10.5%*	*72.1%*	*24.8%*	*26.8%*	*2.3%*	*-0.4%*	*11.0%*	*8.3%*	*19.2%*
Fixed Assets % Sales	*12.8%*	*12.4%*	*16.8%*	*19.1%*	*26.0%*	*27.9%*	*23.5%*	*18.6%*	*17.6%*	*18.4%*
Depreciation	**137**	**154**	**223**	**300**	**382**	**451**	**452**	**526**	**598**	**729**
Depreciation Growth YoY%		*12.6%*	*45.2%*	*34.5%*	*27.1%*	*18.1%*	*0.3%*	*16.4%*	*13.6%*	*22.0%*
Depreciation %Sales	2.2%	2.2%	2.5%	3.1%	4.2%	5.2%	4.4%	3.6%	3.6%	3.9%
Depreciation %Fixed Assets	*17.3%*	*17.6%*	*14.9%*	*16.0%*	*16.0%*	*18.5%*	*18.6%*	*19.6%*	*20.5%*	*21.0%*
Gross Block	1,061	1,295	2,144	2,767	3,585	4,049	4,405	5,142	5,687	6,718
Accumulated Depreciation	271	422	643	893	1,208	1,616	1,981	2,452	2,772	3,245
Net Block	**790**	**873**	**1,501**	**1,874**	**2,377**	**2,433**	**2,424**	**2,690**	**2,915**	**3,473**
Average Life of Assets	8	8	10	9	9	9	10	10	10	9
Average Age of Assets	2.0	2.7	2.9	3.0	3.2	3.6	4.4	4.7	4.6	4.4
% Assets Consumed	26%	33%	30%	32%	34%	40%	45%	48%	49%	48%
Asset Turnover	7.8	8.1	6.0	5.2	3.9	3.6	4.2	5.4	5.7	5.4
Change in Revenue		860	1932	832	-643	-433	1577	4144	2094	2335
Change in Fixed Assets		83	629	373	503	56	-9	266	224	559
Change in Revenue/Change in FA		10.34	3.07	2.23	-1.28	-7.77	-174.89	15.60	9.33	4.18

Particulars	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Change in Gross Block	234	849	623	818	464	356	737	545	1,031
Depreciation for the Year	154	223	300	382	451	452	526	598	729
Maintenance Capex Growth	154	223	300	382	451	452	526	598	729
Growth Capex	80	626	323	436	13	-96	211	-53	302

- The company had announced capex of INR1200-1300 Crore in FY25, which is largely toward EV manufacturing, product development and new things. In FY25 the company did a capex of 1,010 crore to increase the capacity and innovation projects. Cheyyar is the plant where back-end operations like chrome painting, powder coating is also expected to see capacity expansion to support the company's growing operations.
- Depreciation has increased significantly from INR137 crore in FY16 to INR729 crore in FY25 a ~5x increase in depreciation indicates that company continuously invest in assets, but as depreciation grew sales were not grew to maintain the capex which is concerning.
- The Average age of assets at ~4 years shows a young asset base which gradually increased from 2.7x in FY17 to 4.5x in FY25. The average life of asset is ~10 years which is suitable for automobile industry.
- Asset Turnover which is 5.4x in FY25 which shows the company utilize its assets more efficiently and generating more revenue with the same assets. This indicates company is now more efficient using asset and improving its revenue.
- Overall, the company has built robust, modern asset base for EV. If demand from EVs and new products increases as expected by management and industry, asset utilization should improve further, and revenue growth can offset rising deprecation and high capex in near future.

Eicher Motors Ltd

Focus on Volume Growth

Eicher Motor

Working Capital Analysis

Particulars	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Inventory	308	336	395	633	572	875	1,132	1,278	1,410	1,564
Receivable	33	50	68	84	87	158	302	369	374	550
Trade Payable	723	765	1,172	1,234	1,008	1,513	1,788	1,810	2,090	2,530
Working Capital	**-382**	**-379**	**-709**	**-517**	**-349**	**-480**	**-354**	**-163**	**-306**	**-416**
Inventory Days	33	33	31	46	42	62	69	57	57	55
Receivable Days	2	3	3	3	3	7	11	9	8	11
Trade Payable Days	77	75	92	89	74	108	110	80	85	90
Cash Conversion Cycle	**-42**	**-39**	**-58**	**-40**	**-29**	**-39**	**-30**	**-14**	**-20**	**-24**

Particulars	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Bajaj Auto	-20	-22	-31	-17	-16	-22	-19	-18	-28	-29
TVS Motors	-18	-12	-28	-21	-31	-63	-50	-42	-48	-56
Hero Motor	-20	-29	-24	-5	-15	-32	-23	-17	-30	-20
Tata Motors	-46	-41	-43	-38	-48	-74	-53	-45	-48	-56
Ashok Leyland	5	8	-39	-6	-22	-30	-52	-16	-4	-24
Mahindra & Mahindra	-6	-11	-27	-23	-3	-26	-27	-13	-11	-21
Median	***-19***	***-17***	***-30***	***-19***	***-19***	***-31***	***-39***	***-18***	***-29***	***-27***
Average	***-18***	***-18***	***-32***	***-18***	***-23***	***-41***	***-37***	***-25***	***-28***	***-34***

Interpretation:

- Working Capital is a financial metric that measures a company's short-term liquidity and operational efficiency. It's the money available to fund day to day operations and covers short-term debts.
- From FY16 to FY25 it has negative working capital ranging from -382 to -416. This means company relies heavily on supplier credit to fund its operations and this is a common and often efficient business model in manufacturing, as long as it's stable and sustainable.
- The company has negative cash conversion cycle ranging from -42 days to -24 days and is generally considered excellent. It means the company is selling its inventory and collecting cash from sales before it has to pay its suppliers.
- This implies it has very strong management for operations and the company is financing its growth using "Free" capital from its trade payables.
- Eicher Motors has CCC of -24 days and the median is -27 days in FY25 which is low compared to its peers. All the major listed company in automotive sector operate with negative CCC, which means this is the industry norm.
- Eicher motors is operating slightly less efficiently than the median peers in terms of CCC but is well within the industry range.

Eicher Motors Ltd

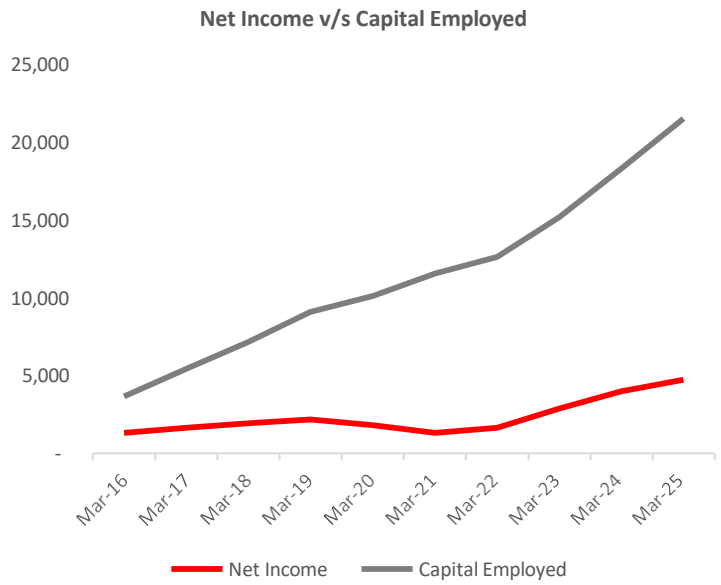
Focus on Volume Growth

Eicher Motor

Return on Incremental Invested Capital (ROIIC) Profiling

Particulars	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Net Income	1,338	1,667	1,960	2,203	1,827	1,347	1,677	2,914	4,001	4,734
Capital Employed	3,676	5,457	7,181	9,105	10,125	11,595	12,667	15,186	18,320	21,562

ROIIC Profiling	Amount
Cumulative Net Income	23,668.00
Incremental Capital Deployed	17,886.00
Reinvestment Rate	**75.57%**
ROIIC	18.99%
Intrinsic Compounding Rate	**14.35%**
Stock Price (10 Year CAGR)	16.00%
Stock Price (5 Year CAGR)	23.00%



Interpretation :

- From FY16 to FY22 Net Profit has modest growth and unstable net income, but post that from FY23 both Net profit and Capital Employed grew.
- A large percentage of profits (reinvestment rate : 75%) is being reinvested into business, supporting growth toward EV and setting manufacturing plant, growth expansions etc.
- Return of Incremental Invested Capital (ROIIC) of 18.99% means every INR 100, company earns additional INR18, which shows good capital allocation, management is good at deploying cash into projects, acquisitions and capacity expansion.
- The stock performed much better in the last 5 year at a CAGR of ~23%, possibly reflecting strong market position and turnaround in profitability.

Eicher Motors Ltd

Focus on Volume Growth

Eicher Motor

Dupont Analysis

Return on Equity (ROE)	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Net Profit	1799.9	1995.6	935.1	1379.4	2787.4	3607.0	4407.4
Average Shareholder Equity	7974.4	9449.8	10709.5	12023.0	13799.1	16517.9	19671.0
Return on Equity (ROE)	**22.57%**	**21.12%**	**8.73%**	**11.47%**	**20.20%**	**21.84%**	**22.41%**

ROE - Dupont Equation	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Net Profit	1799.9	1995.6	935.1	1379.4	2787.4	3607.0	4407.4
Revenue	9797.1	9153.6	8720.4	10297.8	14442.2	16535.8	18870.4
Net Profit Margin (A)	**18.37%**	**21.80%**	**10.72%**	**13.40%**	**19.30%**	**21.81%**	**23.36%**
Revenue	9797.1	9153.6	8720.4	10297.8	14442.2	16535.8	18870.4
Average Total Assets	10454.5	11918.3	13504.2	15349.2	17668.7	21156.4	25144.8
Assets Turnover Ratio (B)	**0.9x**	**0.8x**	**0.6x**	**0.7x**	**0.8x**	**0.8x**	**0.8x**
Average Total Assets	10454.5	11918.3	13504.2	15349.2	17668.7	21156.4	25144.8
Average Shareholder Equity	7974.4	9449.8	10709.5	12023.0	13799.1	16517.9	19671.0
Equity Multiplier (C)	**1.3x**	**1.3x**	**1.3x**	**1.3x**	**1.3x**	**1.3x**	**1.3x**
Return on Equity (A*B*C)	**22.57%**	**21.12%**	**8.73%**	**11.47%**	**20.20%**	**21.84%**	**22.41%**

Return on Assets (ROA)	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Net Profit	1799.9	1995.6	935.1	1379.4	2787.4	3607.0	4407.4
Average Total Assets	10454.5	11918.3	13504.2	15349.2	17668.7	21156.4	25144.8
Return on Assets (ROA)	**17.22%**	**16.74%**	**6.92%**	**8.99%**	**15.78%**	**17.05%**	**17.53%**

ROA - Dupont Equation	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Net Profit	1799.9	1995.6	935.1	1379.4	2787.4	3607.0	4407.4
Revenue	9797.1	9153.6	8720.4	10297.8	14442.2	16535.8	18870.4
Net Profit Margin (A)	**18.37%**	**21.80%**	**10.72%**	**13.40%**	**19.30%**	**21.81%**	**23.36%**
Revenue	9797.1	9153.6	8720.4	10297.8	14442.2	16535.8	18870.4
Average Total Assets	10454.5	11918.3	13504.2	15349.2	17668.7	21156.4	25144.8
Assets Turnover Ratio (B)	**0.9x**	**0.8x**	**0.6x**	**0.7x**	**0.8x**	**0.8x**	**0.8x**
Return on Assets (A*B)	**17.22%**	**16.74%**	**6.92%**	**8.99%**	**15.78%**	**17.05%**	**17.53%**

Interpretation:

- The Return on Equity of company is 22.41% in FY25 which is good and it has 25% CAGR for 3 years. ROE is slightly reduced when compared to 22.57% in FY19 to 22.41% in FY25 by 016%.
- Overall, the assets turnover has remained constant from FY23 to FY25 0.8x and equity multiplier has remained stable that is 1.3x.
- Return on Assets has increased by 0.31% from FY19 17.22% to FY25 17.53%. It has 25% CAGR for 3 years of ROA.
- Overall, ROE and ROA are good which shows the company has created value for its shareholders.

Eicher Motors Ltd

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Eicher Motor

Management Analysis

Leadership



Siddhartha Lal

Executive Chairman, EML

Mr. Siddhartha Lal is the Executive Chairman of Eicher Motors Ltd. The parent company of leading motorcycle maker Royal Enfield. He has done a Bachelor's Degree in Economics from ST. Stephen College from DU, a Master's Degree in Automotive Engineering from the University of Leeds, and a Mechanical Engineering from Cranfield University.

He joined the Eicher group in 1999 and, since then played a significant role in reviving the Royal Enfield brand. He has been deeply involved in the strategic realignment of RE product portfolio as well as shaping the brand and the business over the last 25 years. He has been the CEO of Royal Enfield from 2000 to 2004 and Chairman of VECV from 2012 to 2017 and 2020-2023.

He is an avid motorcyclist and loves riding out to new destinations and personally rides and tests every new Royal Enfield motorcycle.



Vinod Aggarwal

Vice Chairman (Non-Executive), EML and MD & CEO of VECV

Vinod Aggarwal is the Vice Chairman (Non-Executive) of EML and Managing Director & CEO of VE Commercial Vehicles Ltd (VECV), Eicher Motors' joint venture with Sweden's AB Volvo. He has done his Bachelor's Degree from Panjab University. He is a qualified Chartered Accountant and Cost Management Accountant. With 40+ years of rich experience in general management, finance, and operations, he has been leading the joint venture since 2010. He was also the CFO of the Eicher Group from 2005 – 2009. Vinod has won several awards for his contribution to the commercial vehicle industry, including "CV Man of the Year" twice in 2014 and 2019. He has been the past president of SIAM. He was also recognised as the "Best CEO – Medium and Heavy Duty truck makers" in 2016 by World Auto Forum and the "Hall of Fame 2015" by Manufacturing Today. He is currently on the Board of VECV as MD & CEO and holds Directorship in VE Electro Mobility and Eicher Group Foundation.



B Govindarajan

MD, EML and CEO, Royal Enfield

B Govindrajan is currently Managing Director at EML and CEO of Royal Enfield. He has done Mechanical Engineering degree from Annamalai University, Tamil Nadu and holds a Post Graduate Diploma in Materials Management. He has 34+ years of experience in the automotive industry. He joined Eicher Motors Ltd. In 1995, where he has been responsible for several roles and has worked across verticals. At Royal Enfield he was responsible for the entire manufacturing activity and the implementation of the lean and quality management system. He joined Royal Enfield in June 2011, as the Senior Vice President – Industry and was the COO heading the entire technical organization at Royal Enfield from 2013 to 2022. In his role as CEO, Royal Enfield, Govindarajan leads the entire Royal Enfield business and is also responsible for spearheading the electric mobility plans for Royal Enfield. Under his leadership, Royal Enfield has established Technology centers in UK and India. He has also been the driving force behind the expanding Royal Enfield's global footprint and setting up the 4 subsidiaries and 5 CKD plant for the brand. He holds Directorships in Royal Enfield Brasil Comércio De Motocicletas Ltda and Stark Future SL (Foreign Companies).

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Management Analysis



Vidhya Srinivasan
Chief Financial Officer, EML

Vidhya Srinivasan is the Chief Financial Officer at Eicher Motors. She leads Finance functions including Financial Planning & Analysis (FP&A), Finance Controllership, Investor Relations, Banking & Treasury, and the Regional Finance teams. She has done Bachelors of Commerce from University of Madaras. She did post graduate in business administration from IIM Ahmedabad. She is a qualified Charted Accountant.
She has more than 25 years of rich experience in financial planning and analysis, business partnering, corporate governance, legal advisory and investor across India and Asia Pacific region. She worked with Bata India Limited as the Chief Financial Officer (CFO). She has also a relevant work experience in finance field. She has a wide experience to various companies such as Puma India, Sentiss Pharma, Aditya Birla Retail, Hypermarket and Glenmark Pharma among other several renowned brands.



Yadvinder Singh Guleria
Chief Commercial Officer, Royal Enfield

Yadvinder Singh Guleria is the Chief Commercial Officer at Royal Enfield. With more than 28 years of professional experience Yadvinder comes with in depth knowledge of the automotive industry. Prior joining Royal Enfield, Yadvinder worked at Honda Motorcycle and Scooter India Pvt. Ltd. As director – Sales and Marketing. Yadvinder also has the credit of building a separate 'Premium Bikes Business' for Honda and leading the structuring of the organization, product portfolio roadmap, and policy- shaping. Before joining Honda Motorcycles, Yadvinder has worked with Yamaha, Hindustan Motors and Polaris India as commercial function leader. He heads overall commercial operations with a focus on leading growth and spearheading marketing & sales strategies for India and International markets.



Marks Wells
Chief of Design, Royal Enfield

Mark Wells is the Chief of Design at Royal Enfield. He studied Transportation Design at Northumbria University in Newcastle Upon Tyne (in the North East of England). Mark leads Product Strategy and Industrial Design at Royal Enfield and works towards building and creating the company's vision on mobility for the future. Mark joined Royal Enfield in 2015. Prior to Royal Enfield, Mark ran his own Industrial Design consultancy, Xenophya Design, established in 2001. He designed Classic 500, Classic 350 and Continental GT535.



Mohit Dhar Jayal
Chief Brand Officer, Royal Enfield

Mohit Dhar Jayal is the Chief Brand Officer (CBO) at Royal Enfield. He is a seasoned brand specialist and has helped developed strategies and campaigns for category leading brands over the past two decade. Mohit leads Royal Enfield's brand strategy and heads creative and strategic thinking for brand and marketing functions. Mohit has been associated with Royal Enfield in the past and played a key role in designing the blueprint for the company's modern brand identity as an external partner between 2004 and 2014. Prior joining Royal Enfield, Mohit was leading an entrepreneurial venture Motherland Joint Venture Pvt. Ltd. Wherein he advised several of India's current and emerging unicorns including OYO, Swiggy, Snapdeal, Zetwerk, Magic pin, Rebel Foods & Chayoos.

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Management Analysis



Sudhakar Bhagavatula
Chief Information Officer, Royal Enfield

Sudhakar Bhagavatula is the Chief Information Officer at Royal Enfield. He has done Bachelors of Engineering in Electronics and Communications from Andhra University and also completed Graduate course in Computer Science from Mississippi State University. He has more than 23 years of experience across India, Asia, US & UK in the areas of IT consulting, Product Engineering, in house IT strategy and transformation. Prior to Royal Enfield he was worked with GE lighting as Chief Information Officer, ASPAC, where he was responsible for leading IT growth strategy. Prior to GE, Sudhakar worked with Oracle corporation in the US & UK both in Product Development and consulting division. Before Oracle corporation he worked as an Oracle Technologist at South Florida water management district and vital computers in the US.



Rajeev Sharma
Chief Human Officer, Royal Enfield

Rajeev Sharma is the Chief Human Officer at Royal Enfield. He has done Engineering and post graduation in HR from XLRI, Jamshedpur. He has 20+ years of experience in the field of Human Resource. Prior to Royal Enfield he worked at Hindustan Unilever, Coca Cola India, GE Capital International Services/Genpact as HR leadership role. He had been contributing to strategic aspects of business with a stout focus on talent development, succession planning, capability building and support capacity creation to achieve the intended business goals. He is a seasoned professional with a track record for successfully delivering HR strategy to achieve business outcomes in multi- geography and multi-cultural settings.



Mahesh Tripathi
Chief Operation Officer, Royal Enfield

Mahesh Tripathi is the Chief Operation Officer at Royal Enfield. He has completed his Bachelors of Mechanical Engineering (Hons) from IIT Roorkee and an Executive MBA from XLRI (Jamshedpur). He has close to over 30 years of experience in production, supply chain management and Quality Assurance, with an exceptional track record of success and delivering business results. He started his career with Tata Motor group as a GET (Graduate Engineering Trainee) and has worked in several department in Tata Motors and Tata Hitachi including Sales. Before joining Royal Enfield, he worked with Sany Heavy Industry Pvt. Ltd. As a director operations and R&D handling technical business operations. e specializes in implementing strategic initiatives and is passionate about driving service delivery excellence and a 'customer-first' mentality within the organization.



Umesh Krishnappa
Chief Technology Officer for EV, Royal Enfield

Umesh Krishnappa is the Chief Technology Officer for EV at Royal Enfield. He hold a post graduate diploma in Business Administration – Operations from symbiosis, Pune. He is a qualified Mechanical Engineering from SGSITS, Indore. He has 34+ years of experience in technical sales & marketing, new product development, operations & manufacturing excellence, business excellence & process management, design process & development. Prior to Royal Enfield, he has worked with Ola Electric where he was Sr. Vice President and Head of Vehicle Engineering & Technology and Manufacturing Engineering. He spearheaded the engineering and development of Ola S1 Pro in a record time of 10 months. He was also the Sr. Executive Vice President at Mahindra Electric and worked on the development of the very first car Reva in the year 2013.

Eicher Motors Ltd

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Independent Directors



Inder Mohan Singh
Independent Director, EML

Inder Mohan Singh is an independent director at Eicher Motors. He is a member of the Institute of Company Secretaries of India, a law graduate from Delhi University and a postgraduate in Finance. Mr. Singh is a Partner with Shardul Amarchand Mangaldas & Co., a leading law firm and specializes in various practice areas including General Corporate, Mergers & Acquisitions, Private Equity, Corporate Governance and Education. Mr. Singh has vast experience in the automobile industry especially in matters related to joint ventures, distribution networks, business transfers and technology licensing issues. He has worked across industries including cement, media and entertainment, telecom, real estate and the education sector. He is on the Board of VE Commercial Vehicles Limited as Non-Executive - Independent Director and also an Equity partner in Shardul Amarchand Mangaldas & Co.



S. Madhavan
Independent Director, EML

S. Madhavan is an independent director at Eicher Motors. He is a qualified Charted Accountant and MBA from IIM Ahmedabad. He has a around 38 years of experience in Accountancy, Economics, Finance, Law, Information Technology, Human Resources, Management and Banking. e has served as a Senior Partner and Executive Director at PricewaterhouseCoopers for several years and has held several senior positions there. He started his career with Hindustan Unilever in 1980s. He has also been the President, the Northern Region, Indo-American Chamber of Commerce, and the Co- Chairman of the Taxation Committee, ASSOCHAM. He is on the board of several listed companies, such as HCL Technologies, ICICI Bank, Sterlite Technologies, Procter & Gamble Health and Transport Corporation of India and is a Chairman/member of various board committees.



Tejpreet Singh Chopra
Independent Director, EML

Tejpreet Singh Chopra is an independent director at Eicher Motors. He has completed his Masters in Business Administration from Cornell University, B.A. Hons in economics from St. Stephen's College, Delhi University and attended an executive program at Harvard Kennedy School. He is the Founder and CEO of Bharat Light and power. He has over 25 years of experience in global management and finance. Tejpreet was the President & CEO of General Electric in India, Sri Lanka & Bangladesh, and was responsible for directing GE's strategies for growth in these countries. He was earlier at GE Capital Aviation Services (GECAS) and arranged over US$1 billion in financing for India's growing airline industry. He is also on the Board of the World Economic Forum Foundation (WEF) for YGLs. He serves as Non-Executive - Independent Director on the Board of Tube Investments of India Limited, Indian Energy Exchange Limited, Indraprastha Medical Corporation Limited & DCM Shriram Ltd. He also holds Directorship in Bharat Light And Power Private Limited, BLP Industry. AI Private Limited, Clean AF India Foundation, BLP Renewable Services Private Limited, TI Clean Mobility Private Limited, Bharat Light And Power Group Pte Ltd. (Singapore), Bharat Light And Power Investments Pte Ltd. (Singapore) and Neemtree Investment Advisors Pte Ltd. (Singapore).

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Independent Directors



Ira Gupta
Independent Director, EML

Ira Gupta is an Independent Director at Eicher Motors. She has completed her MBA in Professional Management & Industrial Relations from XLRI Jamshedpur and a BA Hons Degree from Lady Shri Ram College, New Delhi. She has 27 year of experience as an HR leader and coach, she has held prominent roles including CHRO at Microsoft India and South Asia, and an HR leadership position at GlaxoSmithKline. She has also served as Director for the governing bodies of NGOs, advisory boards of educational institutions such as XLRI, and committees at CII and FICCI. She serves as Non- Executive – Independent Director on the Board of SRF Limited, Max Estates Limited, and Amagi Media Labs Pvt Ltd.



Arun Vasu
Independent Director, EML

Arun Vasu is an independent director at Eicher Motors. He is graduated from Loyola College, Chennai. He capitalized on the Reserve Bank of India's relaxed norms in 1992 to launch India's first foreign exchange business. This pioneering spirit continued with the founding of TT Services in 2000, the world's inaugural visa outsourcing service. Today, as Chairman and Managing Director of the TT Group of Companies, Arun oversees a diversified portfolio encompassing air cargo, logistics, supply chain solutions, trucking, insurance brokering, hospitality, and water sports training and development. His passion for water sports also led him to introduce wind surfing, surfing, and stand-up paddle boarding to the coastal fishing village of Kovalam near Chennai, empowering the local community through a socio-economic initiative. Arun is an avid motorcyclist and has toured extensively in India and around the world.

Commentary

The company has strong management with vast experiences and technical expertise. Further, the independent directors come from diversified industries and include dignified professions such as CAs, CS and MBA Professionals etc. Basis our screening of publicly available data, we do not find any prominent political connections of leadership and independent directors with national and regional political parties. Further, we do not find any conflict of interest of independent directors with the company, as reported.

The Current Managing Director of the company Mr. B Govindarajan has joined the company in 1995 in a particular role and gradually promoted to his current designation as MD after leading manufacturing and strategic verticals. Since his joining, the top and bottom line of the company has grown very strong from 2013 to 2025. The other members of management were hired and promoted as per their competencies and technical expertise. While Vinod Aggarwal has been managing the business of commercial vehicles for 16 years and the other members of leadership team have contributed towards successful implementation of strategies for the company.

Shareholding Pattern :

	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Jun-25
Promoters	50.6%	50.5%	49.3%	49.3%	49.2%	49.2%	49.2%	49.1%	49.1%	49.1%
FIIs	32.5%	31.0%	32.5%	27.7%	29.1%	29.2%	28.6%	29.0%	25.0%	25.8%
DIIs	4.0%	5.9%	4.6%	11.1%	9.1%	10.0%	11.2%	11.0%	16.6%	15.7%
Government	0.0%	0.0%	0.1%	0.2%	0.2%	0.1%	0.1%	0.1%	0.1%	0.1%
Public	12.9%	12.6%	13.5%	11.8%	12.5%	11.5%	10.9%	10.8%	9.3%	9.4%

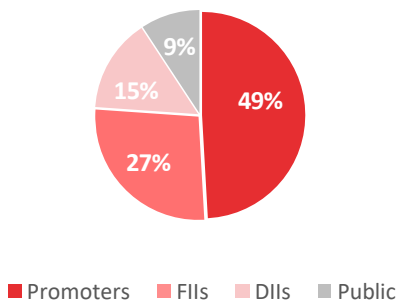
Eicher Motors Ltd

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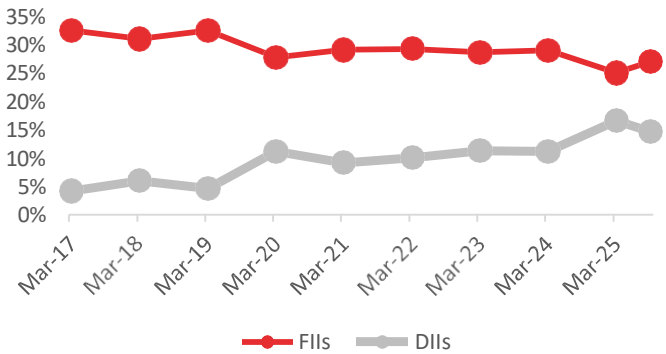
	Sep-22	Dec-22	Mar-23	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25
Promoters	49.2%	49.2%	49.2%	49.2%	49.2%	49.2%	49.1%	49.1%	49.1%	49.1%	49.1%	49.1%
FIIs	30.3%	29.9%	28.6%	30.3%	28.9%	30.3%	29.0%	28.8%	27.6%	25.4%	25.0%	25.8%
DIIs	10.0%	10.0%	11.2%	10.0%	10.5%	9.7%	11.0%	11.8%	13.7%	16.1%	16.6%	15.7%
Government	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%
Public	10.5%	10.9%	10.9%	10.4%	11.4%	10.8%	10.8%	10.1%	9.5%	9.3%	9.3%	9.4%

The Company has majority of its shareholders with Institutions & Public to the total of 50.84%. As on June 2025 Promoters are holding 49.07%, FIIs are holding 25.82%, DIIs are holding 15.67%, Government and Public holding is at 0.10% and 9.35% respectively. Promoters' shareholding has been reduced from 50.58% in March 2017 to 49.07% in year June 2025. Though, there decrease in promoter holdings, it is not significant to conclude managements strategic exit from the business. Promoters have decreased holdings from 49.08% to 49.07% in Jun 2025 quarter. FII/FPI have increased holdings from 25.02% to 25.82% in Jun 2025 quarter. Number of FII/FPI investors increased from 993 to 1108 in Jun 2025 quarter. Number of MF schemes remains unchanged at 40 in June 2025 quarter.

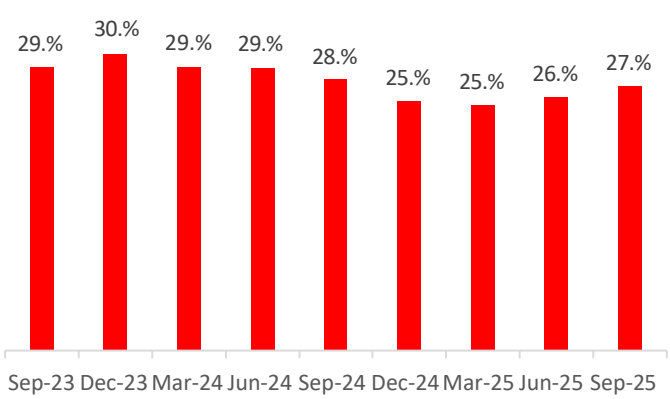
Shareholding Pattern FY25



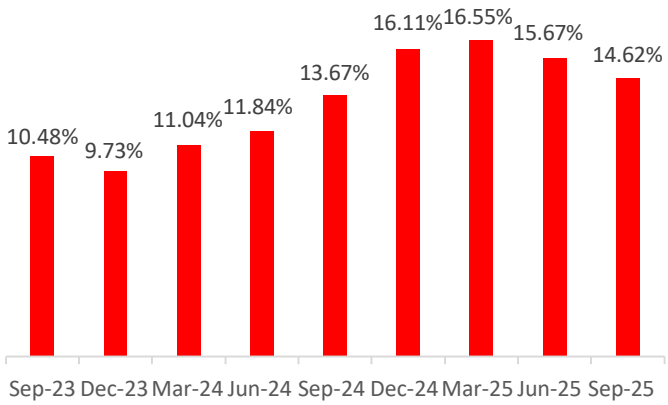
FII & DII Holdings



Q-oQ FII Holding



Q-o-Q DII Holding



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Commentary

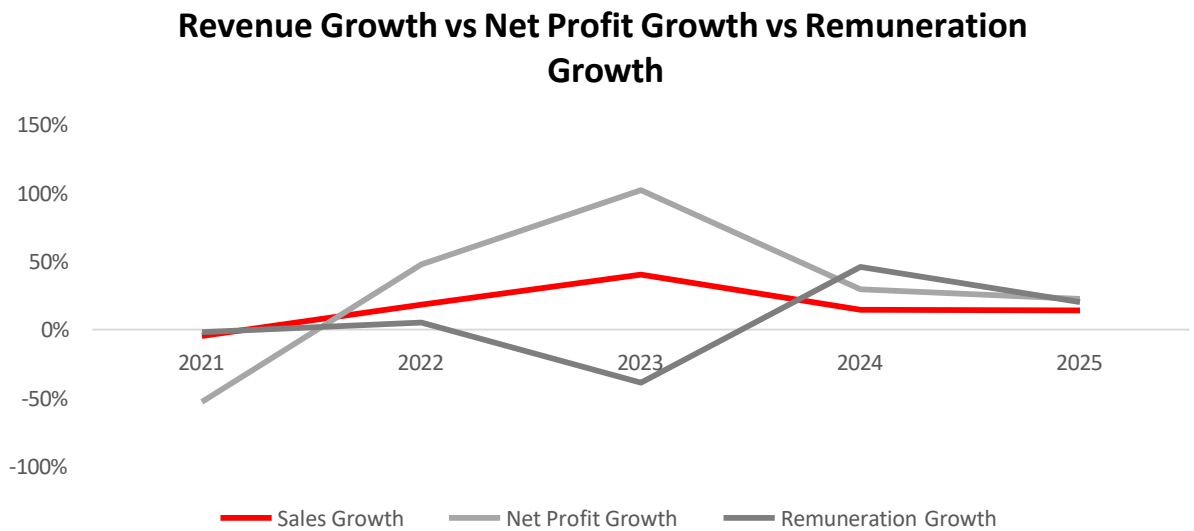
Management Remuneration

During FY25, the company has incurred managerial remuneration of INR 52.79 crores as against INR 43.93 crores in FY24 that is 20% increase in YoY basis. The details are as under:

Name	Designation	Ratio of remuneration with median employee salary	FY25	FY24	Growth in Remuneration	Sales Growth y-o-y%	Net Profit Growth y-o-y%
Mr. Sandilya	Chairman - Non-Executive Independent Director	9.1x	0.73	0.78	-6%	14.11%	18%
Mr. Siddhartha	Executive Chairman	358.4x	32.72	27.13	21%	14.11%	18%
Mr. Govindarajan	Managing Director	211.8x	19.34	16.03	21%	14.11%	18%
Total		**211.8x**	**52.79**	**43.93**	**35%**	**14.11%**	**18.00%**

Median ratio of KMP remuneration with median employee salary is 358.4x, whereas the median ratio of Tvs motors is 157x, Hero motor have 125x and Bajaj Auto have 278x. Compared to peers Eicher motors median ratio is higher than its peers.

Particulars	Median ratio of KMP remuneration with median employee salary
TVS	157x
Hero motocrop	125x
Bajaj Auto	278x



Particulars	2021	2022	2023	2024	2025
Sales	8720	10298	14442	16536	18870
Sales Growth	-5%	18%	40%	14%	14%
Net Profit	935	1379	2787	3607	4407
Net Profit Growth	-53%	48%	102%	29%	22%
Remuneration Growth	-2.1%	5.1%	-39.2%	45.8%	20.2%

Eicher Motors Ltd

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DCF Valuation

	Historical			Explicit Growth Period				
Particulars	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Sales	14,442	16,536	18,870	21,135	23,671	26,511	29,693	33,256
Sales Growth		14.50%	14.12%	12.00%	12.00%	12.00%	12.00%	12.00%
EBIT Margin	19%	20%	19%	21%	21%	21%	21%	21%
EBIT	**2,793**	**3,338**	**3,666**	**4,438**	**4,971**	**5,567**	**6,236**	**6,984**
Less: Actual Tax Payment	(₹ 639)	(₹ 764)	(₹ 839)	(₹ 1,015)	(₹ 1,137)	(₹ 1,274)	(₹ 1,427)	(₹ 1,598)
NOPAT	**2,154**	**2,574**	**2,827**	**3,423**	**3,834**	**4,294**	**4,809**	**5,386**
Less: Capex				(₹ 1,200)	(₹ 1,300)	(₹ 1,060)	(₹ 1,188)	(₹ 1,330)
Less: Change in WC		(₹ 7)	(₹ 355)	(₹ 332)	(₹ 160)	(₹ 179)	(₹ 200)	(₹ 225)
Add: Depreciation				845	947	1060	1188	1330
Free Cash Flow to Firm				2,736	3,321	4,115	4,608	5,161
Cost of Capital	9.24%							
Discounting Period(Years)				1	2	3	4	5
Present Value Factor				0.915	0.838	0.767	0.702	0.643
Present Value of Free Cash Flow to Firm				**2505**	**2782**	**3156**	**3236**	**3317**

WACC Calculation - Eicher Motors LTD

Risk Free Rate	6.40%
Equity Risk Premium	3.01%
Beta(3Y- Daily)	0.96
Cost of Equity	**9.29%**
Corporate Credit Rating	AAA
Corporate Default Spread	1.01%
Cost of Debt (Pre-Tax)	7.41%
Marginal Tax Rate	22.88%
Cost of Debt (Post-Tax)	**5.71%**
Debt to Equity Ratio	0.02
Debt to Capital Ratio	1.2%
Weighted Average Cost of Capital	**9.24%**

DCF Valuation of Eicher Motors LTD

Terminal Year FCFF	5161
Terminal Year Growth Rate	6%
Value of Terminal CF at 5th	168652
PV of Terminal CF	108394
PV of Forecasted CF	14996
Firm Value/Enterprise Value	**123389**
Less: Value of Debt	458
Add: Cash & Other Non op Investments	6305
Less: Value of Stock Options/Warrants	0
Equity Value	**129236**
No of Shares	27.4
Equity value/Share	4717
Market Price/Share	5977
Verdict	Overvalued

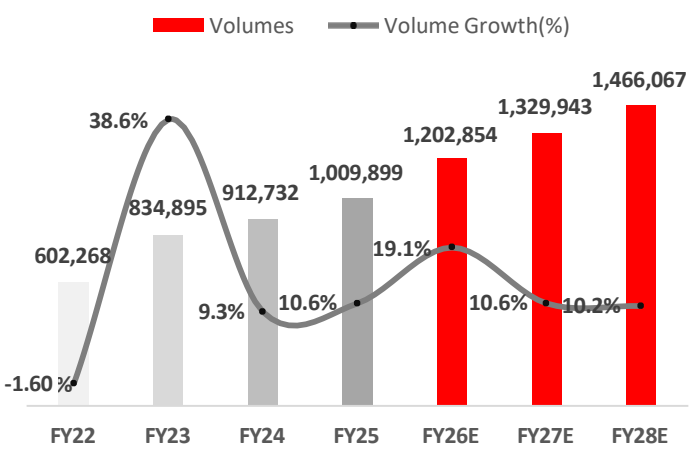
Eicher Motors Ltd

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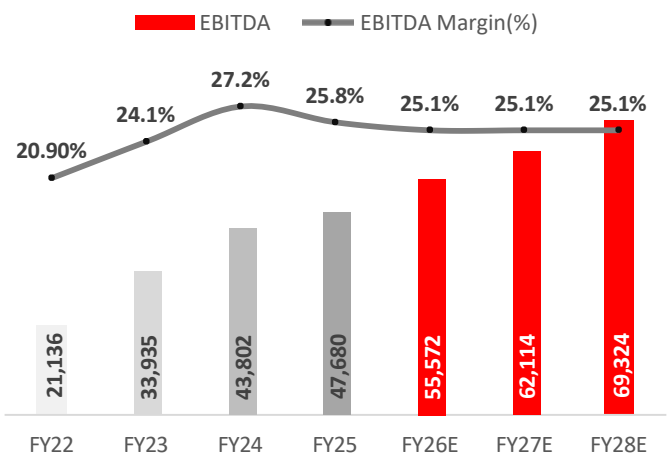
Story In Charts

Volumes and growth trends for RE



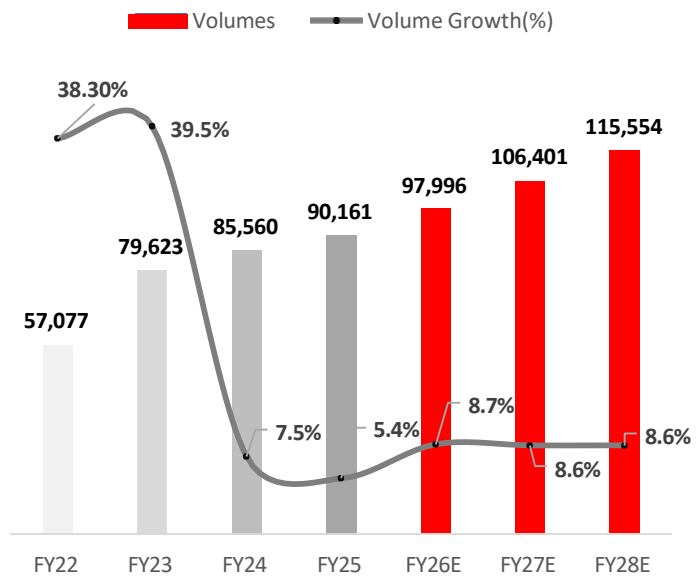
Source: Company, MOFSL

EBITDA and EBITDA Margin trends for RE



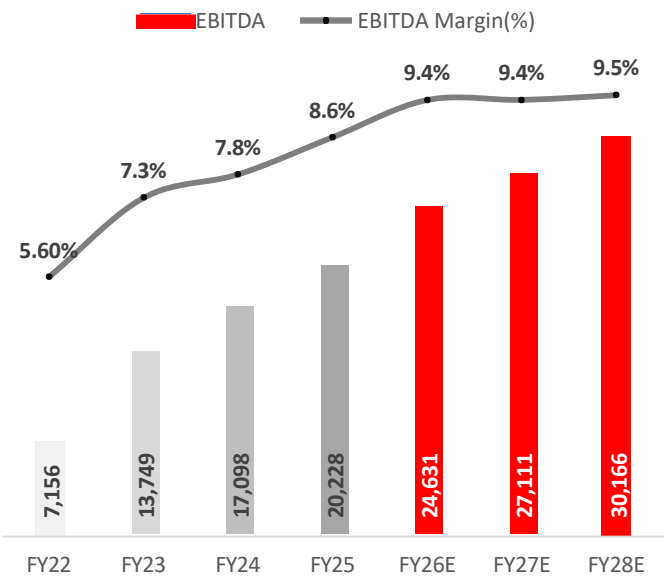
Source: Company, MOFSL

Volumes and growth trajectory for VECV



Source: Company, MOFSL

EBITDA and EBITDA Margin trends for RE



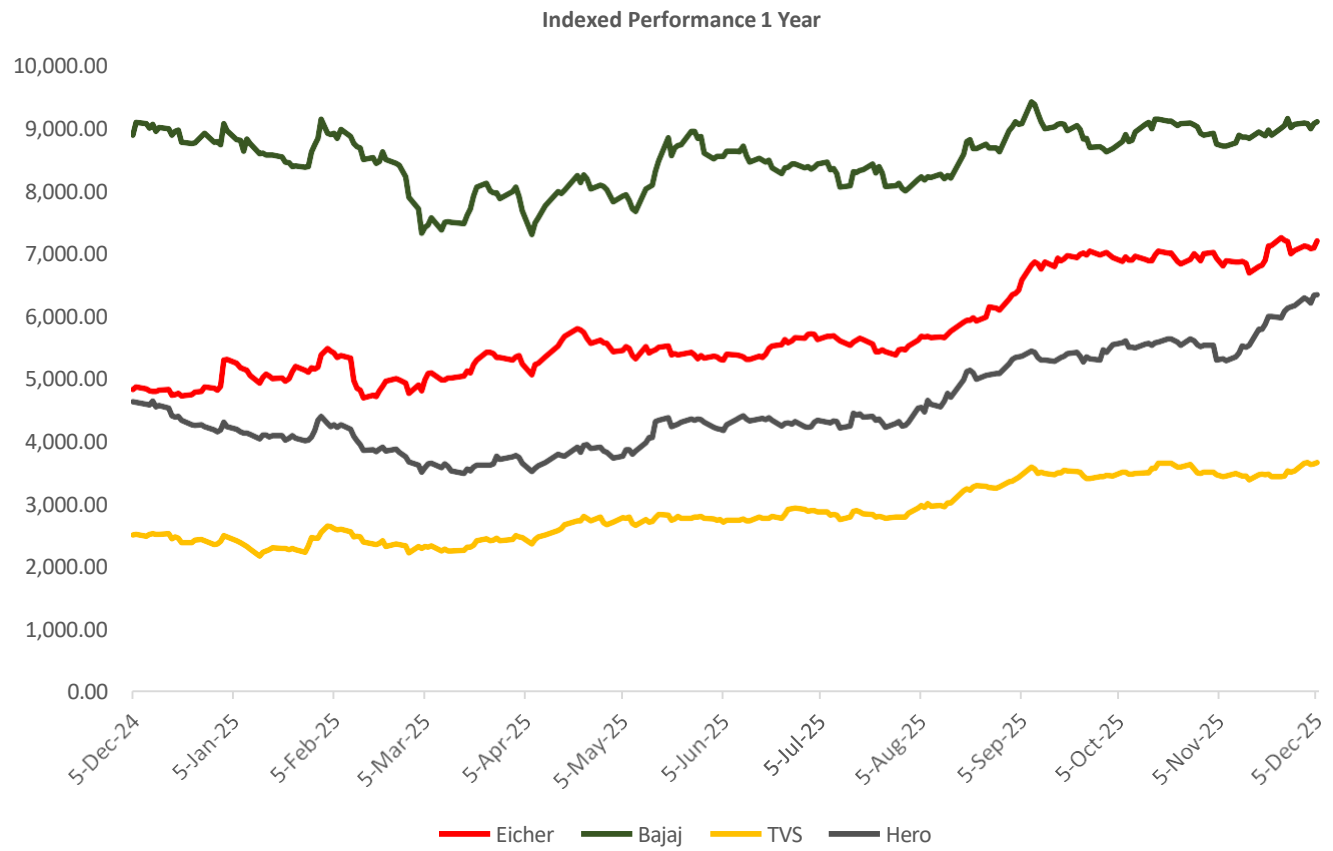
Source: Company, MOFSL

Eicher Motors Ltd

Focus on Volume Growth

Eicher Motor

Stock Performance



Name	CMP Rs.	PEG	Mar Cap Rs.Cr.	Debt Rs.Cr.	Int Coverage	P/E	ROE %	ROCE %	EBIDTA
Bajaj Auto	9109	2.94	254305.78	19693.24	15.56	30.53	22.77	28.06	12554.75
Eicher Motors	7208	0.94	197746.92	445.78	104.22	38.72	24.1	29.81	7343.23
TVS Motor Co.	3665.4	1.65	174105.01	16861.86	2.87	66.82	28.39	15.35	7472.24
Hero Motocorp	6350.5	1.01	127046.8	718.07	95.9	24.05	23.06	30.34	7867.06

Eicher Motors Ltd

Focus on Volume Growth

Eicher Motor

Analyst Coverage

Date	Research House	LTP	Target	Rating
14-Nov-25	ICICI Direct	7184.5	7850	BUY
14-Nov-25	Axis Direct	7184.5	6785	HOLD
14-Nov-25	Motilal Oswal	7184.5	5846	SELL
13-Nov-25	ICICI Securities Ltd	7184.5	7200	HOLD
18-Aug-25	Geojit BNP Paribas	7184.5	6342	BUY
04-Aug-25	Axis Direct	7184.5	5635	HOLD
15-May-25	ICICI Securities Ltd	7184.5	5600	HOLD
11-Mar-25	Geojit BNP Paribas	7184.5	5665	BUY
11-Feb-25	BOB Capital Markets	7184.5	5079	HOLD
11-Feb-25	Prabhudas Lilladhar	7184.5	5764	Accumulate
11-Feb-25	Emkay	7184.5	6100	BUY
18-Nov-24	ICICI Direct	7184.5	5730	BUY

Source :Trendlyne

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